

**Johnston Community School District
Johnston, Iowa**

Financial and Compliance Report
Year Ended June 30, 2025

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Johnston Community School District

Board of Education and School District Administration Year Ended June 30, 2025

Board of Education

Jennifer Chamberland	President	2027
Soneeta Mangra-Dutcher	Vice President	2027
Derek Tidball	Board Member	2025
Jason Arnold	Board Member	2027
Deb Davis	Board Member	2025
Lya Williams	Board Member	2027
Clint Evans	Board Member	2025

School District Administration

Dr. Nikki Roorda	Superintendent of Schools
Jill Van Woerkom	Associate Superintendent of Teaching & Learning
Ryan Eidahl	Chief Financial Officer
Chris Billings	Executive Director of School Leadership
Dr. Nate Zittergruen	Executive Director of Human Resources
Maria Freed	Director of Business Services
Scott Kruthoff	Director of Community Education
Bob Devens	Director of Buildings and Grounds
LaRae Doll	Director of Nutrition & Food Services
Tony Sparks	Director of Technology
Ryan Woods	High School Principal
Cole Van Vark	High School Assistant Principal
Kyla Burns	High School Associate Principal
Randy Klein	High School Associate Principal
Luke Dillon	Middle School Principal
Ben Chadwick	Middle School Assistant Principal
Tron England	Middle School Associate Principal
Kaniesha Pettaway	Summit Middle School Principal
Amy Eschliman	Summit School Assistant Principal
Jerry Stratton	Summit School Associate Principal
Heather Semelmacher	Director of Athletics and Activities
Melissa Crosse	Assistant Director of Athletics and Activities
Nikki Heidemann	Lawson Elementary Principal
Raine Mollenbeck	Timber Ridge Elementary Principal
Lindsey Cornwell	Horizon Elementary Principal
Suzie Pearson	Wallace Elementary Principal
Eric Toot	Beaver Creek Elementary Principal
Shawna Shanahan	Director of Special Education
Lynn Meadows	Director of Communications
Joy Palmer	Director of Johnston Early Learning Academy
Mary Jane Stites	Director of Johnston Therapeutic Program
Christina Wilson	Director of SEBMH
Adam Busch	Director of Student Services
Michelle Crannell	Director of Elementary Teaching & Learning
Erica Whittle	Director of Secondary Teaching & Learning
Jyll Johnson Miner	Postsecondary Pathways & Related Arts Learning Director

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Bohnsack & Frommelt LLP
Certified Public Accountants
575 12th Avenue
East Moline, Illinois 61244

Independent Auditor's Report

To the Board of Education
Johnston Community School District
Johnston, Iowa

Report on the Audit of Financial Statements

Opinions

We have audited the financial statements of the governmental activities, business-type activities, each major fund, and the aggregate remaining fund information of the Johnston Community School District (District) as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the Johnston Community School District, as of June 30, 2025, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to the financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States (Government Auditing Standards). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Johnston Community School District and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Emphasis of Matter

As discussed in Note 15 to the financial statements, the District adopted new accounting guidance related to Governmental Accounting Standards Board Statement No. 101, *Compensated Absences*. As a result, June 30, 2024 governmental activities, business-type activities, and nonmajor enterprise funds School Nutrition, Community Education and Community Child Care net positions were restated.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Johnston Community School District's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Johnston Community School District's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Johnston Community School District's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, schedules of changes in the District's proportionate share of the net pension liability and schedules of contributions for the Iowa Public Employee's Retirement System and schedule of changes in the District's total OPEB liability and related ratios, and budgetary comparison information, on pages 4–13 and 57-66 be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context.

We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the Johnston Community School District's basic financial statements. The combining and individual fund statements and schedules and schedule of expenditures of federal awards, as required by Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards, are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The combining and individual fund financial statements and schedules and schedule of expenditures of federal awards are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated March 13, 2026, on our consideration of the Johnston Community School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the Johnston Community School District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Johnston Community School District's internal control over financial reporting and compliance.

Bohnsack & Frommelt LLP

East Moline, Illinois
March 13, 2026

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Johnston Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

Johnston Community School District provides this Management's Discussion and Analysis of its financial statements. This narrative overview and analysis of the financial activities is for the fiscal year ended June 30, 2025. We encourage readers to consider this information in conjunction with additional information that we have furnished in our transmittal letter and the District's financial statements, which follow:

FINANCIAL HIGHLIGHTS

- For the year ended June 30, 2025, the District reported an increase of \$5,773,341 in combined total governmental and business type activities net position to \$186,045,201. For the year ended June 30, 2024, the District reported an increase of \$7,905,371 in combined total governmental and business-type activities net position to \$185,150,535.
- Total revenues for the fiscal year ended June 30, 2025 and 2024 of \$128,805,748 and \$121,895,040 were comprised of general revenues in the amount of \$92,426,331 and \$87,487,827 and program revenues totaling \$36,379,417 and \$34,407,213.
- As of June 30, 2025, the District's governmental funds reported combined ending fund balances of \$38,088,983, a decrease of \$2,936,075 in comparison with the prior year. As of June 30, 2024, the District's governmental funds reported combined ending fund balances of \$41,025,058, an increase of \$242,564 in comparison with the prior year.
- As of June 30, 2025, unassigned fund balance of the General Fund was \$7,327,867 or 7.1 percent of total General Fund expenditures. As of June 30, 2024, unassigned fund balance of the General Fund was \$11,860,294 or 12.2 percent of total General Fund expenditures.
- The District's revenue bonded debt decreased by \$4,084,915 due to principal payments totaling \$3,715,000 and amortization/accretion of premiums and discounts of \$369,915.

USING THIS ANNUAL REPORT

The annual report consists of a series of financial statements and other information, as follows:

- Management's Discussion and Analysis introduces the basic financial statements and provides an analytical overview of the District's financial activities.
- The government-wide financial statements consist of a Statement of Net Position and a Statement of Activities. These provide information about the activities of Johnston Community School District as a whole and present an overall view of the District's finances.
- The fund financial statements tell how governmental services were financed in the short term as well as what remains for future spending. Fund financial statements report Johnston Community School District's operations in more detail than the government-wide statements by providing information about the most significant funds. The remaining statements provide financial information about activities for which Johnston Community School District acts solely as an agent or custodian for the benefit of those outside of the District.
- Notes to financial statements provide additional information essential to a full understanding of the data provided in the basic financial statements.

Johnston Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

- Required supplementary information further explains and supports the financial statements with a comparison of the District's budget for the year, the District's proportionate share of the net pension liability and related contributions, as well as presenting the Schedule of Changes in the District's Total OPEB Liability, Related Ratios and Notes.
- Supplementary information provides detailed information about the nonmajor governmental funds. In addition, the Schedule of Expenditures of Federal Awards provides details of various federal programs benefitting the District.

REPORTING THE DISTRICT'S FINANCIAL ACTIVITIES

Government-Wide Financial Statements

The government-wide financial statements report information about the District as a whole using accounting methods similar to those used by private-sector companies. The Statement of Net Position includes all of the District's assets, deferred outflows of resources, liabilities, and deferred inflows of resources, with the difference reported as net position. All of the current year's revenues and expenses are accounted for in the Statement of Activities, regardless of when cash is received or paid.

The two government-wide statements report the District's net position and how it has changed. Net position is one way to measure the District's financial health or financial position. Over time, increases or decreases in the District's net position is an indicator of whether financial position is improving or deteriorating. To assess the District's overall health, additional non-financial factors, such as changes in the District's property tax base and the condition of school buildings and other facilities need to be considered.

In the government-wide financial statements, the District's activities are divided into two categories:

Governmental activities: Most of the District's basic services are included here, such as regular and special education, transportation and administration. Property tax and state aid finance most of these activities.

Business type activities: The District charges fees to help it cover the costs of certain services it provides. The District's school nutrition, community education, community preschool and community child care programs are included here.

Fund Financial Statements

The fund financial statements provide more detailed information about the District's funds, focusing on its most significant or "major" funds – not the District as a whole. Funds are accounting devices the District uses to keep track of specific sources of funding and spending on particular programs.

Some funds are required by state law and by bond covenants. The District establishes other funds to control and manage money for particular purposes, such as accounting for student activity funds, or to show that it is properly using certain revenues, such as federal grants.

Johnston Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

The District has three kinds of funds:

- 1) **Governmental Funds:** Most of the District's basic services are included in governmental funds, which generally focus on (1) how cash and other financial assets that can readily be converted to cash flow in and out and (2) the balances left at year-end that are available for spending. Consequently, the governmental fund statements provide a detailed short-term view that helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs.

The District's major governmental funds for 2024-25 were the General Fund, Capital Projects Fund and Management Levy Fund. The nonmajor governmental funds include the Special Revenue Fund Student Activities Fund and the Debt Service Fund. The required financial statements for governmental funds include a Balance Sheet and a Statement of Revenues, Expenditures and Changes in Fund Balances.

- 2) **Proprietary funds:** Services for which the District charges a fee are generally reported in proprietary funds. Proprietary funds are reported in the same way as the government-wide financial statements. The District's Enterprise Funds, one type of proprietary fund, are the same as its business-type activities but provide more detail and additional information, such as cash flows. The District currently has four Enterprise Funds, the School Nutrition Fund, Community Education Fund, Community Preschool Fund and Community Child Care Fund. The District uses internal service funds, the other kind of proprietary fund, to report activities that provide supplies and services for other District programs and activities. The District currently has one internal service fund, which are used to account for the District's premium and claim payments for the self-insured health insurance and dental insurance plans for District employees..

The required financial statements for proprietary funds include a Statement of Net Position, a Statement of Revenues, Expenses and Changes in Net Position and a Statement of Cash Flows.

- 3) **Fiduciary funds:** The District is the trustee, or fiduciary, for assets that belong to others. This fund type includes custodial funds.

Custodial Funds: These are funds through which the District is a fiscal agent for other governments.

The District is responsible for ensuring the assets reported in the fiduciary funds are used only for their intended purposes and by those to whom the assets belong. The District excludes these activities from the government-wide financial statements because it cannot use these assets to finance its operations.

The required financial statements for fiduciary funds include a Statement of Fiduciary Net Position and a Statement of Changes in Fiduciary Net Position.

Reconciliations between the government-wide financial statements and the governmental fund financial statements follow the governmental fund financial statements.

Johnston Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Table 1 below provides a summary of the District's net position as of June 30, 2025 compared to June 30, 2024.

Table 1 Condensed Statement of Net Position

	Governmental Activities		Business-Type Activities		Total District	
	2025	Restated 2024	2025	Restated 2024	2025	Restated 2024
Current assets	\$ 111,891,133	\$ 108,007,622	\$ 8,667,439	\$ 8,663,178	\$ 120,558,572	\$ 116,670,800
Capital assets	185,983,792	185,541,332	525,073	580,458	186,508,865	186,121,790
Total assets	297,874,925	293,548,954	9,192,512	9,243,636	307,067,437	302,792,590
Deferred outflows of resources	8,633,875	10,797,376	468,671	582,672	9,102,546	11,380,048
Current liabilities	27,318,654	22,142,891	1,177,960	947,749	28,496,614	23,090,640
Non-current liabilities	51,024,400	64,337,841	1,457,612	1,840,108	52,482,012	66,177,949
Total liabilities	78,343,054	86,480,732	2,635,572	2,787,857	80,978,626	89,268,589
Deferred inflows of resources	48,967,486	44,448,526	178,670	183,663	49,146,156	44,632,189
Net position:						
Net investment in capital assets	155,492,938	150,324,908	525,073	580,458	156,018,011	150,905,366
Restricted	30,582,206	28,620,912	-	-	30,582,206	28,620,912
Unrestricted	(6,876,884)	(5,528,748)	6,321,868	6,274,330	(555,016)	745,582
Total net position, as restated	\$ 179,198,260	\$ 173,417,072	\$ 6,846,941	\$ 6,854,788	\$ 186,045,201	\$ 180,271,860

The District's combined net position as of June 30, 2025 grew by \$5,773,341 (3.2%) over the June 30, 2024 combined net position. Net position in the governmental activities grew by \$5,781,188 (3.3%). The net position of the District's business-type activities decreased by \$7,847 (0.1%).

The largest portion of the District's net position is invested in capital assets (e.g., land, infrastructure, intangibles, buildings, equipment and right-to-use leased equipment), less the related debt. The debt related to the investment in capital assets is liquidated with resources other than capital assets.

The most significant factors for the increase in the combined net position of the District were the increase in the restricted portion of net position and the increase in the net investment in capital assets.

The District's combined net investment in capital assets increased by \$5,112,645 (3.4%). Restricted net position represents resources subject to external restrictions, constitutional provisions or enabling legislation on how they can be used. The District's restricted net position increased by \$1,961,294 (6.9%) which was primarily due to the increase in restrictions for physical plant and equipment and school infrastructure.

Governmental activities unrestricted net position (the part of net position that can be used to finance day-to-day operations without constraints established by debt covenants, enabling legislation or other legal requirements) decreased by \$1,300,598. The decrease in unrestricted is primarily due to expenses of unrestricted sources being greater than revenues generated from unrestricted sources.

Net position decreased in Business-Type activities by \$7,847 (0.1%).

Johnston Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

Table 2 shows the changes in net position for the year ended June 30, 2025 compared to the year ended June 30, 2024.

Table 2 Changes in Net Position From Operating Results

	Governmental Activities Not Restated		Business-Type Activities Not Restated		Total District Not Restated	
	2025	2024	2025	2024	2025	2024
Revenues:						
Program revenues:						
Charges for services	\$ 12,528,595	\$ 10,374,894	\$ 5,763,921	\$ 5,485,721	\$ 18,292,516	\$ 15,860,615
Operating grants and contributions	15,907,513	16,245,950	2,179,388	2,258,149	18,086,901	18,504,099
Capital grants and contributions	-	42,499	-	-	-	42,499
General revenues:						
Local taxes	41,099,837	36,190,920	-	-	41,099,837	36,190,920
Statewide sales, services and use tax	9,045,095	9,201,508	-	-	9,045,095	9,201,508
State sources	40,241,772	39,741,528	-	-	40,241,772	39,741,528
Investment earnings	1,711,481	1,717,657	314,940	222,529	2,026,421	1,940,186
Other	13,206	413,685	-	-	13,206	413,685
Total revenues	120,547,499	113,928,641	8,258,249	7,966,399	128,805,748	121,895,040
Expenses:						
Instructional	77,577,232	71,639,054	-	-	77,577,232	71,639,054
Support services						
Student	3,132,619	2,840,079	-	-	3,132,619	2,840,079
Instructional staff	4,367,887	4,797,057	-	-	4,367,887	4,797,057
Administration	11,029,443	10,901,715	-	-	11,029,443	10,901,715
Operations and maintenance	9,004,827	5,528,834	-	-	9,004,827	5,528,834
Student transportation	6,040,340	5,795,770	-	-	6,040,340	5,795,770
Noninstructional	183,926	102,418	-	-	183,926	102,418
AEA	2,712,126	3,508,434	-	-	2,712,126	3,508,434
Interest expense	1,064,168	1,346,965	-	-	1,064,168	1,346,965
Other	-	-	7,919,839	7,529,343	7,919,839	7,529,343
Total expenses	115,112,568	106,460,326	7,919,839	7,529,343	123,032,407	113,989,669
Excess (deficiency) before transfers	5,434,931	7,468,315	338,410	437,056	5,773,341	7,905,371
Transfers, net	346,257	335,502	(346,257)	(335,502)	-	-
Change in net position	5,781,188	7,803,817	(7,847)	101,554	5,773,341	7,905,371
Beginning net position, as restated	173,417,072	170,334,920	6,854,788	6,910,244	180,271,860	177,245,164
Ending net position	\$ 179,198,260	\$ 178,138,737	\$ 6,846,941	\$ 7,011,798	\$ 186,045,201	\$ 185,150,535

In 2024-25, property taxes, unrestricted intergovernmental revenue and state foundation aid accounted for 75.0% of the revenue from governmental activities while charges for services and grants and contributions accounted for 96.2% of the revenue from business-type activities.

In 2024-25, the District's expenses primarily relate to instructional and support services, which account for 89.0% of the total expenses. Total District expenses increased by \$9,042,738 (7.9%), primarily because of increases in instruction and support services expenditures related to salary and benefit increases.

Johnston Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

Total revenue for the District increased by \$6,910,708 (5.7%) in the fiscal year ended June 30, 2025. The most significant revenue category changes were due to a increase in local taxes from an increase in assessed valuation and tax rate.

In Table 3 the net cost of services of \$86,652,990 for 2025 was financed by general revenues, which are property taxes, excise taxes, other taxes and investment and other local revenue \$42,824,524 and state sources \$49,286,867.

Table 3 Net Cost of Governmental Activities and Business-Type Activities

	Total Cost of Services		Net Cost of Services	
	Not Restated		Not Restated	
	2025	2024	2025	2024
Governmental activities				
Instruction	\$ 77,577,232	\$ 71,639,054	\$ 55,039,495	\$ 51,277,419
Support services:				
Student	3,132,619	2,840,079	3,094,544	2,811,104
Instructional staff	4,367,887	4,797,057	1,604,170	2,113,666
Administration	11,029,443	10,901,715	11,019,433	10,882,039
Operation and maintenance of plant	9,004,827	5,528,834	8,630,384	5,467,602
Student transportation	6,040,340	5,795,770	6,040,340	5,795,770
Noninstructional programs	183,926	102,418	183,926	102,418
AEA	2,712,126	3,508,434	-	-
Interest expense	1,064,168	1,346,965	1,064,168	1,346,965
Total Governmental activities	115,112,568	106,460,326	86,676,460	79,796,983
Business-type activities				
Nutrition services	4,378,146	4,167,135	96,803	(118,304)
Community child care services	2,497,056	2,330,206	(131,702)	(107,790)
Community preschool services	332,187	355,046	37,154	24,568
Community education services	712,450	676,956	(25,725)	(13,001)
Total Business-type activities	7,919,839	7,529,343	(23,470)	(214,527)
Total Primary Government	\$ 123,032,407	\$ 113,989,669	\$ 86,652,990	\$ 79,582,456

Governmental Activities

Revenue for the District's governmental activities in 2024-25 increased \$6,618,858 (5.8%) from the previous year, while total expenses in governmental activities increased by \$8,652,242 (8.1%). Governmental activities net position as of June 30, 2025 increased by \$5,781,188 (3.3%) over the June 30, 2024 balance.

For the year ended June 30, 2025:

- The cost financed by the users of the District's programs was \$12,528,595.
- Federal and state governments and some local sources subsidized certain programs with grants and contributions totaling \$15,907,513.
- The net cost of governmental activities was financed with \$41,099,837 in local taxes, \$40,241,772 of unrestricted state grants, \$9,045,095 in statewide sales and services tax revenue, and \$1,724,687 in investment and other earnings.

Johnston Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

For the year ended June 30, 2024:

- The cost financed by the users of the District's programs was \$10,374,894.
- Federal and state governments and some local sources subsidized certain programs with grants and contributions totaling \$16,288,449.
- The net cost of governmental activities was financed with \$36,190,920 in local taxes, \$39,741,528 of unrestricted state grants, \$9,201,508 in statewide sales and services tax revenue, and \$2,131,342 in investment and other earnings.

Business-Type Activities

The District's business-type activities include the School Nutrition Fund, Community Education Fund, Community Preschool Fund and Community Child Care Fund. Revenues of the District's business-type activities in 2024-25 were \$8,258,249; an increase of \$291,850 (3.7%) from 2023-24. Other revenues of these activities were comprised of federal and state reimbursements and interest. Expenses were \$7,919,839, an increase of \$390,496 (5.2%) from 2023-24.

INDIVIDUAL FUND ANALYSIS

As previously noted, the Johnston Community School District uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

The financial performance of the District as a whole is reflected in its governmental funds, as well. As the District completed the year, its governmental funds reported combined fund balances of \$38,088,983, which reflects a decrease of \$2,936,075 (7.2%) from last year's ending fund balances of \$41,025,058.

Governmental Fund Highlights

- The fund balance in the District's General Fund decreased by \$4,732,662 (28.6%) from \$16,567,398 as of June 30, 2024 to \$11,834,736 as of June 30, 2025. Revenues of the General Fund increased \$5,994,296 (6.5%). Expenditures increased \$6,741,134 (7.0%), primarily in instruction.
- The fund balance in the Capital Projects Fund increased by \$704,846 (4.3%) from \$16,289,965 as of June 30, 2024 to \$16,994,811 as of June 30, 2025. Total expenditures were \$8,706,078 in 2024-25 compared to \$10,026,456 in 2023-24. The change in expenditures is due to timing of planned capital projects for buildings and building renovations.
- The fund balance in the Management Levy Fund increased \$1,072,747 (14.2%) from \$7,546,411 as of June 30, 2024 to \$8,619,158 as of June 30, 2025.

Johnston Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

Proprietary Fund Highlights

The net position of the District's proprietary funds increased during the year.

- The net position of the Nutrition Fund decreased by \$131,722 (3.3%) during 2024-25 from the 2023-24 net position.
- The net position of the Community Education Fund increased by \$25,725 (8.6%) during 2024-25 from the 2023-24 net position
- The net position of the Community Preschool Fund decreased by \$35,834 (99.8%) during 2024-25 from the 2023-24 net position
- The net position of the Community Child Care Fund increased by \$133,984 (4.2%) during 2024-25 from the 2023-24 net position

BUDGETARY HIGHLIGHTS

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds, except for internal services, private-purpose trusts and custodial funds. Although the budget document presents functional area expenditures or expenses by fund, the legal level of control is at the aggregated functional level, not at the fund or fund type level. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared on the accrual basis. Schedules showing the original and final budget amounts compared to the District's actual financial activity are included in the required supplementary information section of this report.

Legal Budgetary Highlights

As allowed by GASB Statement No. 41, Budgetary Comparison Schedules- Perspective Differences, the District presents budgetary comparison schedules as required supplementary information based on the program structure of four functional areas as required by state statute for its legally adopted budget. In accordance with the Code of Iowa, the Board of Education annually adopts a program budget for all funds except for internal service and custodial funds as described in the note to required supplementary information.

A comparison of actual expenditures/expenses of the District's budgeted funds with the final program budget amounts is as follows:

	Final Budget	Actual	Variance
Instruction	\$ 73,675,088	\$ 75,134,690	\$ (1,459,602)
Support services	34,320,820	34,500,505	(179,685)
Non-instructional	6,522,893	7,316,736	(793,843)
Other	16,711,092	14,772,483	1,938,609
	<u>\$ 131,229,893</u>	<u>\$ 131,724,414</u>	<u>\$ (494,521)</u>

As of June 30, 2025, the District exceeded the final budget in the instruction, support services and non-instructional programs functions.

Johnston Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

CAPITAL ASSETS AND DEBT ADMINISTRATION

Capital Assets

By the end of the 2024-25 fiscal year, the District had invested \$186,508,865 (net of accumulated depreciation and amortization of \$100,852,365) in a broad range of assets, including school buildings, athletic facilities, computer and audio-visual equipment and administrative offices. This amount represents a net increase of \$387,075 or 0.2% from last year. (More detailed information about capital assets can be found in Note 4 to the financial statements). Total depreciation expense for the year was \$6,951,905.

Capital Assets (Net of Depreciation)

	Governmental Activities		Business-Type Activities		Total District	
	2025	2024	2025	2024	2025	2024
Land	\$ 9,048,757	\$ 9,048,757	\$ -	\$ -	\$ 9,048,757	\$ 9,048,757
Construction in progress	3,973,992	2,516,017	-	-	3,973,992	2,516,017
Buildings	160,772,619	162,292,925	-	-	160,772,619	162,292,925
Improvements other than buildings	2,965,985	3,184,941	525,073	580,458	3,491,058	3,765,399
Furniture and equipment	8,566,563	8,305,042	-	-	8,566,563	8,305,042
Right-to-use lease equipment	47,860	88,882	-	-	47,860	88,882
Right-to-use IT subscription	608,016	104,768	-	-	608,016	104,768
Total	\$ 185,983,792	\$ 185,541,332	\$ 525,073	\$ 580,458	\$ 186,508,865	\$ 186,121,790

Long-Term Obligations

As of June 30, 2025, the District had \$62,030,678 in long-term obligations outstanding. This represents a decrease of \$9,380,977 (13.1%) over last year. In the 2024-25 fiscal year, the District made principal payments of \$4,524,281 and interest payments of \$1,576,240 on its long-term debt including equipment financing, lease obligations and IT subscription obligations. More detailed information about the District's long-term debt is presented in Note 5 to the financial statements.

Outstanding Long-Term Obligations

	Governmental Activities		Business-Type Activities		Total District	
	Restated	Restated	Restated	Restated	Restated	Restated
	2025	2024	2025	2024	2025	2024
Revenue bonds, net	\$ 27,429,578	\$ 31,514,493	\$ -	\$ -	\$ 27,429,578	\$ 31,514,493
Subscription liability	249,480	98,663	-	-	249,480	98,663
Lease liability	48,445	86,414	-	-	48,445	86,414
Equipment financing	1,277,744	1,901,112	-	-	1,277,744	1,901,112
Compensated absences	5,351,503	4,954,946	163,367	182,010	5,514,870	5,136,956
Total OPEB liability	4,668,313	4,662,794	308,036	299,737	4,976,349	4,962,531
Net pension liability	21,400,741	26,317,598	1,133,471	1,393,888	22,534,212	27,711,486
Total	\$ 60,425,804	\$ 69,536,020	\$ 1,604,874	\$ 1,875,635	\$ 62,030,678	\$ 71,411,655

Johnston Community School District

Management's Discussion and Analysis Year Ended June 30, 2025

ECONOMIC FACTORS BEARING ON THE DISTRICT'S FUTURE

At the time these financial statements were prepared and audited, the District was aware of several existing circumstances that could significantly affect its financial health in the future:

- The District is located in the central part of the state, within the larger Des Moines metropolitan area. The economic condition and outlook of the District have remained strong during the past ten years, and as a result, the District has experienced growth over the past several years. This growth has had a positive effect on employment and the District's tax base.
- The current enrollment trend is stable to declining. This trend, along with inadequate state funding will continue to put great pressure on district finances to meet the personnel, facility and transportation needs of the District. The District is continually looking for cost saving solutions to offset the decrease in funding.
- In policy, the District has a financial solvency ratio target of 5-15% with 10% as a minimal goal, and unspent target of 5-15%. It will be important to maintain an adequate cash reserve levy to achieve and maintain the financial solvency goal, and will be equally important to monitor and adjust recurring expenses such as salaries and benefits which represent approximately 80% of the operating budget.
- The economy continues to be a factor that could have consequences for the district in regard to state revenues, property valuations, and enrollment.
- Johnston has invested heavily in its 1:1 iPad initiative, being designated as an Apple Distinguished School District. While this innovation supports learning, it requires ongoing funding for updates and technology support.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide the District's citizens, taxpayers, customers, and investors and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the money it receives. If you have questions about this report or need additional financial information, contact Ryan Eidahl, Chief Financial Officer, Johnston Community School District, 6510 NW 62nd Avenue, Johnston, IA 50131-1234.

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Johnston Community School District

Statement of Net Position

June 30, 2025

	Governmental Activities	Business-Type Activities	Total
Assets			
Current assets:			
Cash, cash equivalents and investments	\$ 57,800,389	\$ 8,539,523	\$ 66,339,912
Property taxes receivables:			
Current year	103,919	-	103,919
Succeeding year	46,069,278	-	46,069,278
Due from other governments	7,582,947	14,458	7,597,405
Other receivables	221,066	27,426	248,492
Inventories	113,534	86,032	199,566
Total current assets	111,891,133	8,667,439	120,558,572
Noncurrent assets:			
Capital assets:			
Nondepreciable:			
Land	9,048,757	-	9,048,757
Construction in progress	3,973,992	-	3,973,992
Depreciable:			
Buildings	239,927,307	-	239,927,307
Improvements other than buildings	10,037,284	-	10,037,284
Furniture and equipment	20,293,427	3,148,748	23,442,175
Right-to-use lease equipment	123,067	-	123,067
Right-to-use IT subscription	808,647	-	808,647
Accumulated depreciation/amortization	(98,228,689)	(2,623,675)	(100,852,364)
Net capital assets	185,983,792	525,073	186,508,865
Total noncurrent assets	185,983,792	525,073	186,508,865
Total assets	297,874,925	9,192,512	307,067,437
Deferred Outflows of Resources			
OPEB related deferred outflows	874,495	57,703	932,198
Pension related deferred outflows	7,759,380	410,968	8,170,348
Total deferred outflows of resources	8,633,875	468,671	9,102,546

See Notes to Basic Financial Statements.

	Governmental Activities	Business-Type Activities	Total
Liabilities			
Current liabilities:			
Accounts payable	6,360,880	220,182	6,581,062
Salaries and benefits payable	9,553,447	226,076	9,779,523
Claims payable	1,280,398	-	1,280,398
Interest payable	722,525	-	722,525
Unearned revenue	-	584,440	584,440
Compensated absences	3,746,052	114,357	3,860,409
IT subscription obligation	125,873	-	125,873
Lease liability	43,238	-	43,238
Equipment financing	633,647	-	633,647
Revenue bonds	4,353,915	-	4,353,915
Other post employment benefits liability	498,679	32,905	531,584
Total current liabilities	27,318,654	1,177,960	28,496,614
Noncurrent liabilities:			
Compensated absences	1,605,451	49,010	1,654,461
IT subscription obligation	123,607	-	123,607
Lease liability	5,207	-	5,207
Equipment financing	644,097	-	644,097
Revenue bonds	23,075,663	-	23,075,663
Other post employment benefits liability	4,169,634	275,131	4,444,765
Net pension liability	21,400,741	1,133,471	22,534,212
Total noncurrent liabilities	51,024,400	1,457,612	52,482,012
Total liabilities	78,343,054	2,635,572	80,978,626
Deferred Inflows of Resources			
Property taxes	46,069,278	-	46,069,278
OPEB related deferred inflows	1,933,148	127,557	2,060,705
Pension related deferred inflows	965,060	51,113	1,016,173
Total deferred inflows of resources	48,967,486	178,670	49,146,156
Net Position			
Net investment in capital assets	155,492,938	525,073	156,018,011
Restricted for:			
Categorical funding	2,518,335	-	2,518,335
Physical plant and equipment	6,086,206	-	6,086,206
School infrastructure	12,718,229	-	12,718,229
Management levy	8,619,158	-	8,619,158
Student activities	640,278	-	640,278
Unrestricted	(6,876,884)	6,321,868	(555,016)
Total net position	\$ 179,198,260	\$ 6,846,941	\$ 186,045,201

Johnston Community School District

Statement of Activities
Year Ended June 30, 2025

Functions/Programs	Expenses	Program Revenues			
		Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	
Governmental Activities:					
Instruction:					
Regular	\$ 49,871,613	\$ 8,252,343	\$ 7,195,099	\$	-
Special	17,107,869	3,769,090	1,137,376		-
Other	10,597,750	98,062	2,085,767		-
Support services:					
Student	3,132,619	38,075	-		-
Instructional staff	4,367,887	58,871	2,704,846		-
Administration	11,029,443	10,010	-		-
Plant operation and maintenance	9,004,827	302,144	72,299		-
Student transportation	6,040,340	-	-		-
Noninstructional programs	183,926	-	-		-
AEA flowthrough	2,712,126	-	2,712,126		-
Interest on long-term debt	1,064,168	-	-		-
Total governmental activities	115,112,568	12,528,595	15,907,513		-
Business-type activities:					
Nutrition services	4,378,146	2,122,670	2,158,673		-
Community child care	2,497,056	2,626,308	2,450		-
Community preschool	332,187	276,768	18,265		
Community education	712,450	738,175	-		-
Total business-type activities	7,919,839	5,763,921	2,179,388		-
Total primary government	\$ 123,032,407	\$ 18,292,516	\$ 18,086,901	\$	-

General revenues and transfers

General revenues:

Taxes:

Property taxes for general purpose

Property taxes for other purposes

Property taxes for capital outlay

Excise taxes

Other taxes

Revenue in lieu of taxes

Sales taxes

Unrestricted state aid

Investment earnings

Gain on sale of capital assets

Transfers

Total general revenues and transfers

Change in net position

Net position, beginning of year, as restated

Net position, end of year

See Notes to Basic Financial Statements.

Net (Expense) Revenue and Changes in Net Position		
Governmental Activities	Business-Type Activities	Total
\$ (34,424,171)	\$ -	\$ (34,424,171)
(12,201,403)	-	(12,201,403)
(8,413,921)	-	(8,413,921)
(3,094,544)	-	(3,094,544)
(1,604,170)	-	(1,604,170)
(11,019,433)	-	(11,019,433)
(8,630,384)	-	(8,630,384)
(6,040,340)	-	(6,040,340)
(183,926)	-	(183,926)
-	-	-
(1,064,168)	-	(1,064,168)
(86,676,460)	-	(86,676,460)
-	(96,803)	(96,803)
-	131,702	131,702
-	(37,154)	(37,154)
-	25,725	25,725
-	23,470	23,470
\$ (86,676,460)	\$ 23,470	\$ (86,652,990)
30,136,192	-	30,136,192
4,705,956	-	4,705,956
5,568,473	-	5,568,473
661,489	-	661,489
27,727	-	27,727
352,731	-	352,731
9,045,095	-	9,045,095
39,889,041	-	39,889,041
1,711,481	314,940	2,026,421
13,206	-	13,206
346,257	(346,257)	-
92,457,648	(31,317)	92,426,331
5,781,188	(7,847)	5,773,341
173,417,072	6,854,788	180,271,860
\$ 179,198,260	\$ 6,846,941	\$ 186,045,201

Johnston Community School District

**Balance Sheet
Governmental Funds
June 30, 2025**

	General	Capital Projects
Assets		
Cash, cash equivalents and investments	\$ 18,563,575	\$ 17,506,366
Property taxes receivable:		
Current year	74,642	18,169
Succeeding year	36,184,130	5,885,155
Due from other governments	6,306,380	1,276,567
Other receivables	150,026	3,333
Inventories	113,534	-
Total assets	\$ 61,392,287	\$ 24,689,590
Liabilities, Deferred Inflows of Resources and Fund Balances		
Liabilities:		
Accounts payable and accrued liabilities	\$ 4,544,497	\$ 1,485,607
Salaries and benefits payable	8,828,924	-
Total liabilities	13,373,421	1,485,607
Deferred inflows of resources, unavailable revenue:		
Property tax	36,184,130	5,885,155
Grants	-	324,017
Total deferred inflows of resources	36,184,130	6,209,172
Fund balances:		
Nonspendable:		
Inventories	113,534	-
Restricted:		
Categorical funding	2,518,335	-
Physical plant and equipment	-	4,646,077
School infrastructure	-	12,348,734
Management levy	-	-
Student activities	-	-
Committed	1,875,000	-
Unassigned	7,327,867	-
Total fund balances	11,834,736	16,994,811
Total liabilities, deferred inflows of resources and fund balances	\$ 61,392,287	\$ 24,689,590

See Notes to Basic Financial Statements.

Management Levy	Nonmajor Governmental Funds	Total Governmental Funds
\$ 9,380,469	\$ 666,941	\$ 46,117,351
11,108	-	103,919
3,999,993	-	46,069,278
-	-	7,582,947
250	66,803	220,412
-	-	113,534
<u>\$ 13,391,820</u>	<u>\$ 733,744</u>	<u>\$ 100,207,441</u>

\$ 48,146	\$ 93,466	\$ 6,171,716
724,523	-	9,553,447
<u>772,669</u>	<u>93,466</u>	<u>15,725,163</u>

3,999,993	-	46,069,278
-	-	324,017
<u>3,999,993</u>	<u>-</u>	<u>46,393,295</u>

-	-	113,534
-	-	2,518,335
-	-	4,646,077
-	-	12,348,734
8,619,158	-	8,619,158
-	640,278	640,278
-	-	1,875,000
-	-	7,327,867
<u>8,619,158</u>	<u>640,278</u>	<u>38,088,983</u>

<u>\$ 13,391,820</u>	<u>\$ 733,744</u>	<u>\$ 100,207,441</u>
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Johnston Community School District

Reconciliation of Total Governmental Fund Balances to Net Position of Governmental Activities June 30, 2025

Total fund balances of governmental funds	\$ 38,088,983
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Amounts reported for governmental activities in the Statement of Net Position are different because:

Capital assets used in governmental activities are not financial resources and, therefore, are not reported as assets in the governmental funds.	185,983,792
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Other assets are not available to pay for current period expenditures and, therefore, are deferred in the funds.	324,017
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The Internal Service Fund is used by the District's management to charge the costs of the self-insurance program to the individual funds. The assets and liabilities of the Internal Service Fund are included with the governmental activities.	10,214,130
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Pension and OPEB related deferred outflows of resources and deferred inflows of resources are not due and payable in the current year and, therefore, are not reported in the governmental funds as follows:

Deferred outflows of resources related to pension	7,759,380	
Deferred inflows of resources related to pension	(965,060)	
Deferred inflows of resources related to OPEB	(1,933,148)	
Deferred outflows of resources related to OPEB	<u>874,495</u>	5,735,667

Long-term liabilities, including bonds payable are not due and payable in the current period and, therefore, are not reported as liabilities in the funds.

Long-term liabilities at year-end consist of:

Bonds payable	(25,580,000)	
Bond premiums	(1,849,578)	
Accrued interest payable	(722,525)	
IT subscription obligation	(249,480)	
Lease liability	(48,445)	
Equipment financing	(1,277,744)	
Compensated absences	(5,351,503)	
Other postemployment benefits obligation	(4,668,313)	
Net pension liability	<u>(21,400,741)</u>	(61,148,329)
Net position of governmental activities		<u><u>\$ 179,198,260</u></u>

See Notes to Basic Financial Statements.

Johnston Community School District

Statement of Revenues, Expenditures and Changes in Fund Balances

Governmental Funds

Year Ended June 30, 2025

	General	Capital Projects
Revenues:		
Local sources:		
Property tax	\$ 30,136,192	\$ 5,568,473
Utility excise tax	501,924	79,539
Other tax	21,209	3,361
Tuition	9,689,908	-
Other	1,285,103	40,073
Interest income	997,805	428,418
Intermediate sources	113,238	-
State sources	52,797,386	9,087,508
Federal sources	2,853,751	89,045
Total revenues	98,396,516	15,296,417

(Continued)

Management Levy	Nonmajor Governmental Funds	Total Governmental Funds
\$ 4,705,956	\$ -	\$ 40,410,621
80,026	-	661,489
3,157	-	27,727
-	-	9,689,908
119,344	1,280,929	2,725,449
285,258	-	1,711,481
-	-	113,238
42,673	-	61,927,567
-	-	2,942,796
5,236,414	1,280,929	120,210,276

Johnston Community School District

Statement of Revenues, Expenditures and Changes in Fund Balances (Continued)

Governmental Funds

Year Ended June 30, 2025

	General	Capital Projects
Expenditures:		
Current:		
Instruction:		
Regular	45,912,585	240,484
Special	16,955,110	-
Vocational and other	9,307,082	-
Support services:		
Student	3,304,752	-
Instructional staff	3,195,195	1,268,419
Administration	8,865,351	189,520
Plant operation and maintenance	8,211,236	203,559
Student transportation	5,177,457	844,260
Noninstructional programs	50,604	-
Other expenditures:		
AEA flowthrough	2,712,126	-
Capital outlay	-	5,959,836
Debt service:		
Principal retirement	-	-
Interest and fiscal charges	-	-
Total expenditures	103,691,498	8,706,078
 Excess (deficiency) of revenues over (under) expenditures	 (5,294,982)	 6,590,339
Other financing sources (uses):		
Issuance of lease	-	3,611
Issuance of IT subscription	295,150	-
Proceeds from sale of capital asset	13,206	-
Transfers in	346,257	119,124
Transfers out	(92,293)	(6,008,228)
Total other financing sources (uses)	562,320	(5,885,493)
 Net change in fund balances	 (4,732,662)	 704,846
 Fund balances, beginning of year	 16,567,398	 16,289,965
Fund balances, end of year	<u><u>\$ 11,834,736</u></u>	<u><u>\$ 16,994,811</u></u>

See Notes to Basic Financial Statements.

Management Levy	Nonmajor Governmental Funds	Total Governmental Funds
1,047,017	-	47,200,086
-	-	16,955,110
-	1,253,997	10,561,079
228	-	3,304,980
30	-	4,463,644
1,388,534	7,938	10,451,343
1,454,835	-	9,869,630
18,623	-	6,040,340
135,276	-	185,880
-	-	2,712,126
-	-	5,959,836
-	4,524,281	4,524,281
-	1,576,240	1,576,240
4,044,543	7,362,456	123,804,575
1,191,871	(6,081,527)	(3,594,299)
-	-	3,611
-	-	295,150
-	-	13,206
-	6,100,521	6,565,902
(119,124)	-	(6,219,645)
(119,124)	6,100,521	658,224
1,072,747	18,994	(2,936,075)
7,546,411	621,284	41,025,058
\$ 8,619,158	\$ 640,278	\$ 38,088,983

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Johnston Community School District

Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund Balances - Governmental Funds to the Statement of Activities Year Ended June 30, 2025

Net change in fund balances - total governmental funds \$ (2,936,075)

Amounts reported for governmental activities in the statement of activities are different because:

Governmental funds report capital outlays as expenditures. However, in the statement of activities, the cost of these assets is allocated over their estimated useful lives and reported as depreciation/amortization expense. This is the amount by which capital outlays exceeded depreciation/amortization expense in the current period. Capital outlay and depreciation/amortization expense in the year are as follows:

Capital outlay	\$ 7,264,536	
Depreciation/amortization expense	(6,822,076)	442,460
Proceeds from sale of capital assets	(13,206)	
Gain on disposal of capital assets	13,206	-

Some receivables will not be collected for several months after the District's fiscal year ends, and therefore, are not considered as "available" revenues in the governmental funds. Instead the receivables are deferred inflows of resources. They are, however, recorded as revenues in the statement of activities:

Grants 324,017

Proceeds from issuing long-term liabilities provide current financial resources to governmental funds, but issuing debt increases long-term liabilities in the statement of net position. Repayment of long-term liabilities is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the statement of net position and does not effect the statement of activities.

Repayment of principal	4,524,281	
Issuance of long-term debt	(298,761)	
Change in accrued interest payable	142,157	
Amortization of bond premiums and discounts	369,915	4,737,592

An internal service fund is used by the District's management to charge the costs of the insurance program to the individual funds. The change in net position in the internal service fund is reported with governmental activities.

632,322

Some expenses reported in the statement of activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds.

Increase in compensated absences	(396,557)	
Change in OPEB expense and related deferrals	(427,895)	
Change in pension expense and related deferrals	3,405,324	2,580,872
Change in net position of governmental activities	\$	5,781,188

See Notes to Basic Financial Statements.

Johnston Community School District

Statement of Net Position

Proprietary Funds

June 30, 2025

	Business-Type Activities Total Nonmajor Enterprise Funds	Governmental Activities Internal Service Fund
Assets		
Current assets:		
Cash and cash equivalents	\$ 8,539,523	\$ 11,683,038
Due from other governments	14,458	-
Other receivables	27,426	654
Inventories	86,032	-
Total current assets	8,667,439	11,683,692
Noncurrent assets:		
Capital assets:		
Furniture and equipment	3,148,749	-
Less accumulated depreciation	(2,623,676)	-
Total noncurrent assets	525,073	-
Total assets	9,192,512	11,683,692
Deferred Outflows of Resources		
OPEB related amounts	57,703	-
Pension related amounts	410,968	-
Total deferred outflows of resources	468,671	-
Liabilities		
Current liabilities:		
Accounts payable	220,182	189,164
Salaries and benefits payable	226,076	-
Claims payable	-	1,280,398
Unearned revenue	584,440	-
Compensated absences	114,357	-
Other post employment benefit obligations	32,905	-
Total current liabilities	1,177,960	1,469,562
Noncurrent liabilities:		
Compensated absences	49,010	-
Other post employment benefit obligations	275,131	-
Net pension liability	1,133,471	-
Total noncurrent liabilities	1,457,612	-
Total liabilities	2,635,572	1,469,562
Deferred Inflows of Resources		
OPEB related amounts	127,557	-
Pension related amounts	51,113	-
Total deferred inflows of resources	178,670	-
Net Position		
Net investment in capital assets	525,073	-
Unrestricted	6,321,868	10,214,130
Total net position	\$ 6,846,941	\$ 10,214,130

See Notes to Basic Financial Statements.

Johnston Community School District

Statement of Revenues, Expenses and Changes in Net Position

Proprietary Funds

Year Ended June 30, 2025

	Business-Type Activities	Governmental Activities,
	Total Nonmajor Enterprise Funds	Internal Service Fund
Operating revenues:		
Local sources:		
Other local sources:		
Sale of lunches and breakfast:		
Students	\$ 1,513,650	\$ -
Adults	11,261	-
A la carte	402,330	-
Special functions	153,251	-
Charges for service	3,552,271	15,261,837
Other	131,158	-
Total operating revenues	5,763,921	15,261,837
Operating expenses:		
Instruction:		
Salaries	186,628	-
Employee benefits	51,490	-
Purchased services	18,265	-
Supplies	7,126	-
Miscellaneous	154,906	-
Support services:		
Salaries	125,638	-
Employee benefits	50,853	13,899,495
Purchased services	194,018	730,020
Depreciation	59	-
Noninstructional programs:		
Salaries	3,353,888	-
Employee benefits	903,086	-
Purchased services	278,522	-
Kitchen supplies	746,578	-
Food consumed	1,630,439	-
Other	88,573	-
Depreciation	129,770	-
Total operating expenses	7,919,839	14,629,515
Operating income (loss)	(2,155,918)	632,322
Nonoperating revenues:		
Interest income	314,940	-
State appropriations	44,822	-
Federal food commodities revenue	331,312	-
Federal appropriations	1,803,254	-
Total nonoperating revenues	2,494,328	-
Income before transfers	338,410	632,322
Transfers out	(346,257)	-
Change in net position	(7,847)	632,322
Net position, beginning of year, as restated	6,854,788	9,581,808
Net position, end of year	\$ 6,846,941	\$ 10,214,130

See Notes to Basic Financial Statements.

Johnston Community School District

**Statement of Cash Flows
Proprietary Funds
Year Ended June 30, 2025**

	Business-Type Activities Total Nonmajor Enterprise Funds	Governmental Activities Internal Service Fund
Cash flows from operating activities:		
Cash received from user charges	\$ 5,918,859	\$ 15,269,299
Cash payments to employees for services	(4,833,336)	-
Cash payment to claimants	-	(14,560,883)
Cash payments to suppliers for goods or services	(2,751,324)	-
Net cash provided by (used in) operating activities	(1,665,801)	708,416
Cash flows from noncapital financing activities:		
Payments to other funds	(346,257)	-
State grants received	44,822	-
Federal grants received	1,799,726	-
Net cash provided by noncapital financing activities	1,498,291	-
Cash flows from capital and related financing activities:		
Acquisition of capital assets	(74,444)	-
Net cash (used in) capital and related financing activities	(74,444)	-
Cash flows from investing activities, interest received	314,940	-
Net increase in cash and cash equivalents	72,986	708,416
Cash and cash equivalents, beginning of year	8,466,537	10,974,622
Cash and cash equivalents, end of year	\$ 8,539,523	\$ 11,683,038
(Continued)		

Johnston Community School District

Statement of Cash Flows (Continued)

Proprietary Funds

Year Ended June 30, 2025

	Business-Type Activities	Governmental Activities
	Total Nonmajor Enterprise Funds	Internal Service Fund
Reconciliation of operating income (loss) to net cash provided by (used in) operating activities:		
Operating income (loss)	\$ (2,155,918)	\$ 632,322
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:		
Depreciation	129,829	-
Federal commodities used	331,312	-
Change in assets and liabilities:		
Decrease in other receivables	84,103	7,462
(Increase) in inventories	(14,300)	-
Decrease in prepaid expense	-	157,655
Increase in accounts payable and accrued liabilities	50,091	189,164
(Decrease) in compensated absences	(18,643)	-
(Decrease) in insurance claims	-	(278,187)
Increase in unearned revenues	70,835	-
Increase in other postemployment benefits obligation	37,253	-
(Decrease) in net pension liability	(180,363)	-
Net cash provided by (used in) operating activities	\$ (1,665,801)	\$ 708,416
Schedule of noncash items		
Noncapital financing activities, federal commodities	\$ 331,312	\$ -

See Notes to Basic Financial Statements.

Johnston Community School District

Statement of Fiduciary Net Position

Fiduciary Fund

June 30, 2025

	<u>Custodial</u>
Assets	
Cash and cash equivalents	\$ 29,214
Due from other governments	<u>32,800</u>
Total assets	<u>62,014</u>
Liabilities	
Other payables	<u>62,014</u>
Total liabilities	<u>62,014</u>
Net Position	
Restricted	<u><u>\$ -</u></u>

See Notes to Basic Financial Statements.

Johnston Community School District

Statement of Changes in Fiduciary Net Position

Fiduciary Fund

Year Ended June 30, 2025

	<u>Custodial</u>
Additions	
Federal sources:	
Grants	\$ 73,800
Total additions	<u>73,800</u>
Deductions	
Administrative expenses	<u>73,800</u>
Total deductions	<u>73,800</u>
Change in net position	-
Net position, beginning of year	-
Net position, end of year	<u><u>\$ -</u></u>

See Notes to Basic Financial Statements.

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Johnston Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies

Nature of operations:

Johnston Community School District (the District) is a political subdivision of the state of Iowa and operates public schools for children in grades prekindergarten through twelve. Additionally, the District either operates or sponsors various adult education programs. These courses include remedial education as well as career and technical recreational courses. The geographic area served includes the City of Johnston, Iowa; portions of Urbandale, Des Moines, Granger and Grimes, Iowa; and other unincorporated areas of Polk County. The District is governed by a Board of Education whose members are elected on a non-partisan basis.

Reporting entity:

For financial reporting purposes, Johnston Community School District has included all funds, organizations, agencies, boards, commissions and authorities. The District has also considered all potential component units for which it is financially accountable and other organizations for which the nature and significance of their relationship with the District are such that exclusion would cause the District's financial statements to be misleading or incomplete. The Governmental Accounting Standards Board has set forth criteria to be considered in determining financial accountability. These criteria include appointing a voting majority of an organization's governing body and (1) the ability of the District to impose its will on that organization or (2) the potential for the organization to provide specific benefits to, or impose specific financial burdens on, the District. Johnston Community School District has no component units which meet the Governmental Accounting Standards Board criteria.

Jointly governed organizations: The District participates in a jointly governed organization that provides services to the District but does not meet the criteria of a joint venture since there is no ongoing financial interest or responsibility by the participating governments. The District is a member of the Polk County Assessor's Conference Board.

Basis of presentation:

The District's financial statements are prepared in conformity with the accounting principles generally accepted in the United States of America (GAAP) that applies to governmental units. The Governmental Accounting Standards Board (GASB) is the accepted standard-setting body for establishing governmental accounting and financial reporting principles.

Government-wide financial statements: The Statement of Net Position and the Statement of Activities report information on all of the nonfiduciary activities of the District. For the most part, the effect of interfund activity has been removed from these statements. Interfund services provided and used are not eliminated in the process of consolidation. Governmental activities, which normally are supported by tax and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for service.

The Statement of Net Position presents the District's nonfiduciary assets and liabilities, with the difference reported as net position. Net position is reported in three categories:

Net investment in capital assets consists of capital assets, including restricted capital assets, net of accumulated depreciation and reduced by outstanding balances for bonds, notes and other debt attributable to the acquisition, construction or improvements of those assets.

Johnston Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Restricted net position results when constraints placed on net position use are either externally imposed by creditors, grantors, contributors or laws and regulations of other governments or imposed by law through constitutional provisions or enabling legislation. As of June 30, 2025, the District had \$2,518,335 restricted for categorical funding, \$6,086,206 restricted for physical plant and equipment levy, \$12,718,229 restricted for school infrastructure, \$8,619,158 restricted for management levy, and \$640,278 restricted for student activities.

Unrestricted net position consists of net position that does not meet the definition of the two preceding categories. Unrestricted net position often has constraints on resources imposed by management which can be removed or modified.

When an expense is incurred which can be paid using either restricted or unrestricted resources, the District's policy is generally to first apply the expenditure toward restricted net position.

The Statement of Activities demonstrates the degree to which the direct expenses of a given function or segments are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function. Program revenues include 1) charges to customer or applicants who purchase, use or directly benefit from goods, services or privileges provided by a given function and 2) grants, contributions and interest restricted to meeting the operational or capital requirements of a particular function. Property tax and other items not properly included among program revenues are reported instead as general revenues.

Fund financial statements: Separate financial statements are provided for governmental, proprietary and fiduciary funds, even though the latter are excluded from the government-wide financial statements. Major individual governmental funds are reported as separate columns in the fund financial statements. All remaining governmental funds are aggregated and reported as nonmajor governmental funds.

The District reports the following major governmental funds:

The General Fund is the general operating fund of the District. All general tax revenues and other revenues not allocated by law or contractual agreement to some other fund are accounted for in this fund. From the fund are paid the general operating expenditures, including instructional, support and other costs.

The Capital Projects Fund is used to account for all resources used in the acquisition and construction of capital facilities.

The Management Levy Fund is used to account for transactions related to unemployment, early retirement, judgments and settlements and the cost of liability insurance as it relates to property and casualty.

The other governmental funds of the District are considered nonmajor and are as follows:

Special Revenue Funds: Are used to account for the revenue sources that are legally restricted to expenditures for specific purposes:

The Student Activity Fund accounts for money held by the District on behalf of the students who have raised these funds and are responsible for their disposition for co-curricular to extracurricular activities of the District.

The Debt Service Fund accounts for property tax and other revenues to be used for the payment of interest and principal on the District's general long-term debt.

Johnston Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

The District reports the following nonmajor proprietary funds:

The School Nutrition Fund accounts for the food service operations of the District.

The Community Child Care Fund accounts for transactions for before and after school child care and summer child care programs authorized by Iowa Code Sections 2898A.12 and 279.49.

The Community Preschool Fund accounts for transactions for preschool programs with an instructional component for children who have not yet met the age requirement for school-aged education.

The Community Education Fund accounts for transactions for facilities and services to provide further education opportunities to the local area.

Internal Service Funds: are used to account for goods or services provided by one department to other departments of the District on a cost reimbursement basis. The District has the following internal service fund:

The Self-Insurance Fund accounts for transactions for self-insured health insurances including medical, dental, prescription and vision received by District employees in which the District is responsible for paying all claims and administrative costs attributable to the insurances listed above.

The District also reported fiduciary funds which focus on net position and changes in net position. The District's Fiduciary fund includes the following:

The Custodial Fund is used for assets held by the District as an agent for individuals, private organizations and other governments.

Measurement focus and basis of accounting:

The government-wide financial statements and the proprietary and fiduciary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property tax is recognized as revenue in the year for which it is levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been satisfied.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the government considers revenues to be available if they are collected within 60 days after year-end.

Property tax, intergovernmental revenues (shared revenues, grants and reimbursements from other governments) and interest associated with the current fiscal period are all considered to be susceptible to accrual. All other revenue items are considered to be measurable and available only when cash is received by the District.

Johnston Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, principal and interest on long-term debt, claims and judgments and compensated absences are recognized as expenditures only when payment is due. Capital asset acquisitions are reported as expenditures in governmental funds. Proceeds of general long-term debt and acquisitions under capital leases are reported as other financing sources.

Under terms of grant agreements, the District funds certain programs by a combination of specific cost-reimbursement grants and general revenues. Thus, when program expenses are incurred, there is both restricted and unrestricted net position available to finance the program. It is the District's policy to first apply cost-reimbursement grant resources to such programs and then general revenues.

Proprietary funds distinguished operating revenues and expenses from nonoperating items. Operating revenues and expense generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the District's enterprise fund is charges to customers for sales and services. Operating expenses for enterprise funds include the cost of sales and services, administrative expenses and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Significant accounting policies:

The following accounting policies are followed in preparing the financial statements:

Cash, cash equivalents and investments: The cash balances of most District funds are pooled and invested. Investments are stated at fair value except for the investment in the Iowa Schools Joint Investment Trust which is valued at amortized cost and nonnegotiable certificates of deposit, which are stated at cost.

For purposes of the statement of cash flows, all short-term cash investments that are highly liquid are considered to be cash equivalents. Cash equivalents are readily convertible to known amounts of cash, and, at the day of purchase, have maturity date no longer than three months.

Investment earnings are comprised of interest, dividends and net changes in the fair value of applicable investments.

Property tax receivable: Property tax in governmental funds is accounted for using the modified accrual basis of accounting. Property tax receivable is recognized in these funds on the levy or lien date, which is the date that the tax asking is certified by the Board of Education. Current year property tax receivable represents unpaid taxes from the current year. The succeeding year property tax receivable represents taxes certified by the Board of Education to be collected in the next fiscal year for the purposes set out in the budget for the next fiscal year. However, by statute, the tax asking and budget certification for the following fiscal year becomes effective on the first day of that year. Although the succeeding year property tax receivable has been recorded, the related revenue is a deferred inflow of resources in both the District-wide and fund financial statements and will not be recognized as revenue until the year for which it is levied.

The property tax revenue recognized in these funds became due and collectible in September and March of the fiscal year with 1½ percent per month penalty for delinquent payments; is based on January 1, 2023 assessed property valuations; is for the tax accrual period July 1, 2024 through June 30, 2025 and reflects the tax asking contained in the budget certified to the County Board of Supervisors in April 2024.

Johnston Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Due from other governments: Due from other governments represents amounts due from the state of Iowa, various shared revenues, grants and reimbursements from other governments.

Inventories: Inventories are valued at cost using the first-in, first-out method for purchased items and governmental commodities. The consumption method of accounting is applied to the governmental fund type inventories. Inventories of proprietary funds are recorded as expenses when consumed rather than when purchased or received.

Prepaid expenses and Prepaid items: Certain payments to vendors reflect costs applicable to future accounting periods and are recorded as prepaid expenses in the District-wide financial statements and prepaid items in the fund financial statements on the consumption method.

Capital assets: Capital assets, which include property, furniture and equipment, are reported in the applicable governmental or business-type activities columns in the government-wide Statement of Net Position. Capital assets are recorded at historical cost. Donated capital assets, donated works of art and similar items are recorded at acquisition value at the date of donation. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized. Capital assets are defined by the District as assets with an initial, individual cost in excess of the following thresholds and estimated useful lives in excess of two years.

Asset Class	Amount
Land	\$ 3,500
Buildings	3,500
Improvements other than buildings	3,500
Right-to-use assets	3,500
Furniture and equipment	
School Nutrition Fund equipment	500
Other furniture and equipment	3,500

Capital assets are depreciated using the straight-line method of depreciation over the following estimated useful lives:

Asset Class	Estimated Useful Lives
Buildings	50 years
Improvements other than buildings	20 - 50 years
Right-to-use assets	2 - 15 years
Furniture and equipment	5 - 15 years

Salaries and benefits payable: Payroll and related expenses for teachers with annual contracts corresponding to the current school year, which are payable in July and August, have been accrued as liabilities included with accounts payable and accrued liabilities.

Unearned revenue: Proprietary funds defer revenue recognition in connection with resources that have been received but not earned. Unearned revenue in the governmental funds arises when assets are recognized before revenue recognition criteria have been satisfied. Unearned revenue consists primarily of textbook rental fees, meal revenues, and child care tuition collected for the programs and services in the next school year.

Johnston Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Compensated absences: District employees accumulate a limited amount of earned but unused vacation, sick leave, and personal leave hours for subsequent use or for payment upon termination, death or retirement. A liability is recorded when each of the following have occurred: the leave is attributable to services already rendered, the leave accumulates and carries forward from one reporting period to the next and the leave is more likely than not to be used for time off or otherwise paid in cash or settled through noncash means.

The District estimates the compensated absences liability for leave benefits that are more likely than not to be used or otherwise paid or settled based on historical information on employees use or payment of the benefits provided. The liability is measured using the pay rates in effect at year-end, the measurement date, and includes salary-related payments that are directly and incrementally associated with the leave liability measurement.

Leases: The District is a lessee for noncancellable leases of equipment. The District recognizes a lease liability and an intangible right-to-use lease asset in the proprietary fund statements and the government-wide financial statements.

At the commencement of a lease, the District initially measures the lease liability at the present value of payments expected to be made during the lease term. Subsequently, the lease liability is reduced by the principal portion of the lease payments made. The lease asset is initially measured as the initial amount of the lease liability, adjusted for lease payments made at or before the lease commencement date, plus certain initial costs to place the asset in service. Subsequently, the lease asset is amortized on a straight-line basis over the life of the lease.

Key estimates and judgments related to leases include how the District determines (1) the discount rate it uses to discount the expected lease payments to present value, (2) lease term, and (3) lease payments.

The District uses the interest rate charged by the lessor as the discount rate. When the interest rate charged by the lessor is not provided, the District generally uses its estimated incremental borrowing rate as the discount rate for leases.

The lease term includes the noncancellable period of the lease. Lease payments included in the measurement of the lease liability are composed of fixed payments and purchase option price that the District is reasonably certain to exercise.

The District monitors changes in circumstances that would require a remeasurement of its lease and will remeasure the lease asset and liability if certain changes occur that are expected to significantly affect the amount of the lease liability.

Lease assets are reported with other capital assets and lease liabilities are reported with long-term debt on the statement of net position.

Johnston Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Subscription-Based Information Technology Arrangements (SBITA) – The District has entered into contracts that convey control of the right to use information technology software. The District has recognized IT subscription liabilities and intangible right-to-use IT subscription assets in the government-wide financial statements.

At the commencement of the IT subscription term, the District initially measures the subscription liability at the present value of payments expected to be made during the subscription term. Subsequently, the IT subscription liability is reduced by the principal portion of payments made. The right-to-use an IT subscription asset is initially measured as the sum of the initial IT subscription liability, adjusted for payments made at or before the commencement date, plus capitalization implementation costs less any incentives received from the SBITA vendor at or before the commencement of the subscription term. Subsequently, the right-to-use IT subscription asset is amortized on a straight-line basis over its useful life.

Key estimates and judgments related to IT subscription arrangements include how the District determines the discount rate it uses to discount the expected payments to present value, term and payments.

The District uses the interest rate charged by the IT subscription vendor as the discount rate. When the interest rate charged by the vendor is not provided, the District generally uses its estimated incremental borrowing rate as the discount rate.

The IT subscription term includes the noncancellable period of the subscription. Payments included in the measurement of the liability are composed of fixed payments.

The District monitors changes in circumstances that would require a remeasurement of its IT subscription and will remeasure the right-to-use IT subscription asset and liability if certain changes occur that are expected to significantly affect the amount of the subscription liability.

Right-to-use IT subscription assets are reported with other capital assets and IT subscription liabilities are reported with long-term debt on the statement of net position.

Long-term obligations: In the governmental fund financial statements, principal and interest on long-term debt, early retirement payments, other postemployment benefits and compensated absences are recognized as liabilities only when payment has matured or become due. Proceeds from the issuance of long-term debt, is reported as other financing sources. In the fund financial statements, governmental fund types recognize bond premiums and discounts through current year operations. The face amount of debt issued is reported as other financing sources. Premiums received on debt issuances are reported as other financing sources. Discounts are reported as other financing uses. Principal payments and bond issuance costs are reported as debt service expenditures.

In the government-wide financial statements, long-term debt and other long-term obligations are reported as liabilities in the governmental activities column in the statement of net position. Bond premiums and discounts are amortized over the life of the contracts using a method which approximates the effective interest method. Bond issue costs are recorded as an expense when incurred.

Johnston Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

Pensions: For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Iowa Public Employees' Retirement System (IPERS) and additions to/deductions from IPERS' fiduciary net position have been determined on the same basis as they are reported by IPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

Total OPEB Liability: For purposes of measuring the total OPEB liability, deferred outflows of resources related to OPEB and OPEB expense, information has been determined based on the Johnston Community School District's actuarial report. For this purpose, benefit payments are recognized when due and payable in accordance with benefit terms. The total OPEB liability attributable to the governmental activities will be paid primarily by the General Fund and the Enterprise, School Nutrition Fund.

Interfund activity: Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after nonoperating revenues/expenses in proprietary funds.

Activity between funds that are representative of lending/borrowing arrangements at the end of the fiscal year are referred to as "due to/from other funds" or "advances to / from other funds" in the fund financial statements. Any residual balances outstanding between the governmental activities and business-type activities are reported in the government-wide financial statements as "internal balances".

Fund equity: In the governmental fund financial statements fund balances are classified as follows:

Nonspendable: Balances that cannot be spent because they are not expected to be converted to cash or they are legally or contractually required to remain intact.

Restricted: Amounts restricted to specific purposes when constraints placed on the use of the resources are either externally imposed by creditors, grantors or state or federal laws or imposed by law through constitutional provisions or enabling legislation.

Committed: Amounts which can be used only for specific purposes determined pursuant to constraints formally imposed by the Board of Education through resolution approved prior to year-end. Those committed amounts cannot be used for any other purpose unless the Board of Education removes or changes the specified use by taking the same action it employed to commit those amounts.

Assigned: Fund balances that contain self-imposed constraints of the government to be used for a particular purpose. The authority to assign fund balances has been delegated to the Chief Financial Officer.

Unassigned: All amounts not included in other spendable classifications as well as any deficit fund balance of any other governmental fund is reported as unassigned. Residual deficit amounts of other governmental funds would also be reported as unassigned.

Johnston Community School District

Notes to Basic Financial Statements

Note 1. Summary of Significant Accounting Policies (Continued)

When an expenditure is incurred for purposes for which amounts in the committed, assigned, or unassigned fund balance classifications could be used, the District's policy is generally to first apply the expenditure to restricted fund balance and then to less restrictive classifications – committed, assigned and then unassigned fund balances.

Deferred outflows/inflows of resources: In addition to assets, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents an acquisition of net assets that applies to a future period(s) and so will not be recognized as an outflow of resources (expenses/expenditures) until then. The District's deferred outflows of resources consist of unrecognized items not yet charged to pension expense or other postemployment benefit expense and contributions from the employer after the measurement date but before the end of the employer's reporting period.

In addition to liabilities, the balance sheet and/or statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of net assets that applies to a future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. The governmental funds report unavailable revenues from property taxes, and grants. These amounts are deferred and recognized as an inflow of resources in the period that the amounts become available.

In the District's government-wide statements, the property tax revenues remain a deferred inflow and will be recognized as revenue in the year for which they are levied and budgeted for. The District's government-wide statements also include the unrecognized items not yet charged to pension expense or other postemployment benefit expense.

Estimates: The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Budgets and budgetary control:

As allowed by GASB Statement No. 41, *Budgetary Comparison Schedules- Perspective Differences*, the District presents budgetary comparison schedules as required supplementary information based on the program structure of four functional areas as required by state statute for its legally adopted budget. The budgetary comparison and related disclosures are reported as Required Supplementary Information. During the year, the District overexpended the instruction, support services and noninstructional programs functions by \$1,459,602, \$179,685 and \$793,843 respectively.

Note 2. Cash, Cash Equivalents and Investments

The District is authorized by statute to invest public funds in obligations of the United States government, its agencies and instrumentalities; certificates of deposit or other evidences of deposit at federally insured depository institutions approved by the Board of Education; prime eligible bankers acceptances; certain high rated commercial paper; perfected repurchase agreements; certain registered open-end management investment companies; certain joint investment trusts; and warrants or improvement certificates of a drainage district.

Interest rate risk: The District's investment policy limits the investment of operating funds (funds expected to be expended in the current budget year or within 15 months of receipt) in instruments that mature within 397 days. Funds not identified as operating funds may be invested in investments with maturities longer than 397 days but that maturities shall be consistent with the needs and use of the District.

Johnston Community School District

Notes to Basic Financial Statements

Note 2. Cash, Cash Equivalents and Investments (Continued)

The District categorizes its fair value measurements within the fair value hierarchy established by generally accepted accounting principles. The hierarchy is based on the valuation inputs used to measure the fair value of the asset. Level 1 inputs are quoted prices in active markets for identical assets; Level 2 inputs are significant other observable inputs; Level 3 inputs are significant unobservable inputs. As of June 30, 2025, the District's investments were as follows:

	Fair Value	Investment Maturities (in Years)				Level Input	Rating		
		<1	1-5	6-10	>10		Standard & Poor	Moody's	Fitch
Money Market Funds:									
Iowa Schools Joint Investment Trust (ISJIT)	\$25,090,821	\$25,090,821	\$ -	\$ -	\$ -	N/A	AAAm	NA	N/A
Goldman Sachs Financial Square Fund Governmental Fund	1,092,863	1,092,863	-	-	-	NA	NA	NA	NA
Treasury Bills	2,090,808	2,090,808	-	-	-	2	AA+	Aaa	AAA
	<u>\$28,274,492</u>	<u>\$28,274,492</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>				

At June 30, 2025, the District had investments in the Iowa Schools Joint Investment Trust District (ISJIT) which are valued at an amortized cost pursuant to rule 2a-7 under the Investment Company Act of 1940. There were no limitations or restrictions on withdrawals of the ISJIT investments. The investments in ISJIT were rated AAAm by Standard & Poor's Financial Services.

Credit risk: Credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. The District does not have a policy specific to credit risk. The credit related to the District investments are in the table above.

Concentration of Credit Risk: The District's investment policy seeks diversification to reduce overall portfolio risk while attaining market rates of return to enable the District to meet all anticipated cash requirements.

Custodial Credit Risk: Custodial credit risk for deposits is the risk that, in the event of the failure of a depository financial institution, a government will not be able to recover its deposits or will not be able to recover collateral securities that are in the possession of an outside party. The custodial credit risk for investments is the risk that, in the event of the failure of the counterparty (e.g. broker-dealer) to a transaction, a government will not be able to recover the value of its investment or collateral securities that are in the possession of another party. Chapter 12c of the Code of Iowa requires all District funds be deposited into an approved depository and be either insured or collateralized.

Johnston Community School District

Notes to Basic Financial Statements

Note 3. Interfund Transfers

The detail of interfund transfers for the year ended June 30, 2025 is as follows:

	Transfer In	Transfer Out
General Fund	\$ 346,257	\$ 92,293
Capital Projects Fund	119,124	6,008,228
Management Levy Fund	-	119,124
Aggregate remaining fund information:		
Nonmajor governmental funds	6,100,521	-
Nonmajor enterprise funds	-	346,257
Total	\$ 6,565,902	\$ 6,565,902

Transfers generally move revenues from the fund statutorily required to collect the resources to the fund statutorily required to expend the resources. Transfers to the Debt Service Fund are for required principal and interest payments for the statewide sales, services and use tax revenue bonds.

Note 4. Capital Assets

Capital assets activity for the year ended June 30, 2025 is as follows:

	Balance Beginning of Year	Increases	Decreases	Balance End of Year
Business-type activities:				
Capital assets being depreciated,				
Furniture and equipment	\$ 3,094,598	\$ 74,444	\$ 20,293	\$ 3,148,749
Less accumulated depreciation for,				
Furniture and equipment	2,514,140	129,829	20,293	2,623,676
Business-type activities capital assets, net	\$ 580,458	\$ (55,385)	\$ -	\$ 525,073

Johnston Community School District

Notes to Basic Financial Statements

Note 4. Capital Assets (Continued)

	Balance Beginning of Year	Increases	Decreases	Balance End of Year
Governmental activities:				
Capital assets not being depreciated				
Land	\$ 9,048,757	\$ -	\$ -	\$ 9,048,757
Construction in progress	2,516,017	4,221,665	2,763,690	3,973,992
Total capital assets not being depreciated	11,564,774	4,221,665	2,763,690	13,022,749
Capital assets being depreciated/amortized:				
Buildings	236,430,276	3,497,031	-	239,927,307
Improvements other than buildings	9,849,161	188,123	-	10,037,284
Furniture and equipment	18,830,763	1,462,664	-	20,293,427
Right-to-use lease equipment	123,067	-	-	123,067
Right-to-use subscription asset	149,904	658,743	-	808,647
Total capital assets being depreciated/amortized	265,383,171	5,806,561	-	271,189,732
Less accumulated depreciation and amortization for:				
Buildings	74,137,351	5,017,337	-	79,154,688
Improvements other than buildings	6,664,220	407,079	-	7,071,299
Furniture and equipment	10,525,721	1,201,143	-	11,726,864
Right-to-use lease equipment	34,185	41,022	-	75,207
Right-to-use subscription asset	45,136	155,495	-	200,631
Total accumulated depreciation and amortization	91,406,613	6,822,076	-	98,228,689
Total capital assets being depreciated/amortized, net	173,976,558	(1,015,515)	-	172,961,043
Governmental activities capital assets, net	\$ 185,541,332	\$ 3,206,150	\$ 2,763,690	\$ 185,983,792

Depreciation and amortization expense was charged by the District to the following functions:

Governmental activities:	
Instruction, regular	\$ 5,165,687
Support services:	
Administration	1,060,089
Plant operation and maintenance	596,300
Total governmental activities depreciation and amortization expense	\$ 6,822,076
Business-type activities:	
School nutrition	\$ 125,334
Community education	389
Community preschool	59
Community child care	4,047
Total business-type activities depreciation expense	\$ 129,829

Johnston Community School District

Notes to Basic Financial Statements

Note 5. Long-Term Liabilities

A summary of changes in long-term liabilities for the year ended June 30, 2025 is as follows:

	Restated Balance Beginning of Year	Additions	Reductions	Balance End of Year	Due Within One Year
Governmental activities:					
Revenue bonds	\$ 29,295,000	\$ -	\$ 3,715,000	\$ 25,580,000	\$ 3,984,000
Premiums	2,219,493	-	369,915	1,849,578	369,915
Net revenue bonds	31,514,493	-	4,084,915	27,429,578	4,353,915
Other long-term liabilities:					
Subscription liability	98,663	295,150	144,333	249,480	125,873
Lease liability	86,414	3,611	41,580	48,445	43,238
Equipment financing	1,901,112	-	623,368	1,277,744	633,647
Compensated absences	4,954,946	396,557	-	5,351,503	3,746,052
Total OPEB liability	4,662,794	5,519	-	4,668,313	498,679
Net pension liability	26,317,598	-	4,916,857	21,400,741	-
Total other	33,299,862	700,837	5,726,138	32,996,226	5,047,489
Total governmental activities	\$ 64,814,355	\$ 700,837	\$ 9,811,053	\$ 60,425,804	\$ 9,401,404
Business-type activities:					
Compensated absences	\$ 182,010	\$ -	\$ 18,643	\$ 163,367	\$ 114,357
Total OPEB liability	299,737	8,299	-	308,036	32,905
Net pension liability	1,393,888	-	260,417	1,133,471	-
Total business-type activities	\$ 1,875,635	\$ 8,299	\$ 279,060	\$ 1,604,874	\$ 147,262

The District's revenue bond debt, which is payable from revenues of the Capital Projects Fund-Statewide Sales, Services and Use Tax account, is as follows:

- An issue of \$8,709,000 dated July 11, 2018 for the purpose of financing a portion of the costs of Wallace, the ARC and a street project, having an interest rate of 2.92% and an unpaid balance of \$4,710,000. Principal installments ranging from \$754,000 to \$984,000 is due July 1 until the final payment on July 1, 2029.
- An issue of \$26,380,000 dated June 29, 2022 for the purpose of refunding 2013 and 2014 revenue bonds, having an interest rate ranging from 3.25-8.35% and an unpaid balance of \$20,870,000. Principal installments ranging from \$2,640,000 to \$4,140,000 are due July 1 until the final payment on July 1, 2030.

The District has pledged future statewide sales, services and use tax revenues to repay the revenue bonds. The bonds are payable solely from the proceeds of the statewide sales, services and use tax revenues received by the District and are payable through 2031. The bonds are not a general obligation of the District. However, the debt is subject to the constitutional debt limitation of the District. Annual principal and interest payments on the bonds are expected to require nearly 100% of the statewide sales, services and use tax revenues. The total principal and interest remaining to be paid on the bonds is \$29,059,736. For the current year, \$3,715,000 in principal was paid and \$1,536,224 of interest was paid on the bonds and total statewide sales, services and use tax revenues were \$9,045,095.

Johnston Community School District

Notes to Basic Financial Statements

Note 5. Long-Term Liabilities (Continued)

The resolution providing for the issuance of the statewide sales, services and use tax revenue bonds includes the following provisions:

- a) All proceeds from the statewide sales, services and use tax shall be placed in a revenue account.
- b) Monies in the revenue account shall be disbursed to pay the principal and interest requirements of the revenue bonds for the fiscal year.
- c) Any monies remaining in the revenue account after the required payments may be transferred to the project account to be used for any lawful purpose.

The District complied with all of the revenue bond provisions during the year ended June 30, 2025.

\$8,709,000 Bond Issue 2018			
Annual Principal and Interest Requirements			
Year ending June 30:	Principal	Interest	Total
2026	\$ 949,000	\$ 123,677	\$ 1,072,677
2027	899,000	96,696	995,696
2028	925,000	70,065	995,065
2029	953,000	42,647	995,647
2030	984,000	14,366	998,366
Totals	\$ 4,710,000	\$ 347,451	\$ 5,057,451

\$26,380,000 Bond Issue 2022			
Annual Principal and Interest Requirements			
Year ending June 30:	Principal	Interest	Total
2026	\$ 3,035,000	\$ 1,139,821	\$ 4,174,821
2027	3,365,000	872,621	4,237,621
2028	3,645,000	579,954	4,224,954
2029	3,950,000	329,025	4,279,025
2030	4,140,000	163,001	4,303,001
2031	2,735,000	47,863	2,782,863
Totals	\$20,870,000	\$ 3,132,285	\$ 24,002,285

Total Revenue Bonds			
Annual Principal and Interest Requirements			
Year ending June 30:	Principal	Interest	Total
2026	\$ 3,984,000	\$ 1,263,498	\$ 5,247,498
2027	4,264,000	969,317	5,233,317
2028	4,570,000	650,019	5,220,019
2029	4,903,000	371,672	5,274,672
2030	5,124,000	177,367	5,301,367
2031	2,735,000	47,863	2,782,863
Totals	\$25,580,000	\$ 3,479,736	\$ 29,059,736

Johnston Community School District**Notes to Basic Financial Statements**

Note 5. Long-Term Liabilities (Continued)**Subscription Based Information Technology Arrangements (SBITA):**

The District has entered into several subscription based information technology arrangements (SBITA). The arrangements expire June 30, 2029. The details of the arrangements are as follows:

Year ending June 30:	SBITA		
	Principal	Interest	Total
2026	\$ 125,873	\$ 11,542	\$ 137,415
2027	83,212	6,180	89,392
2028	19,705	2,020	21,725
2029	20,690	1,035	21,725
Totals	<u>\$ 249,480</u>	<u>\$ 20,777</u>	<u>\$ 270,257</u>

Leases:

The District has entered into a lease for AED equipment. The lease expires June 30, 2028. The details of the lease are as follows:

Year ending June 30:	Lease		
	Principal	Interest	Total
2026	\$ 43,238	\$ 793	\$ 44,031
2027	4,789	9	4,798
2028	418	3	421
Totals	<u>\$ 48,445</u>	<u>\$ 805</u>	<u>\$ 49,250</u>

Equipment Financing:

The District has entered into a financing agreement with Apple for computers. The agreement expires June 30, 2028. The details of the financing agreement is as follows:

Year ending June 30:	Equipment Financing		
	Principal	Interest	Total
2026	\$ 633,647	\$ 21,070	\$ 654,717
2027	644,096	10,621	654,717
2028	1	-	1
Totals	<u>\$ 1,277,744</u>	<u>\$ 31,691</u>	<u>\$ 1,309,435</u>

Johnston Community School District

Notes to Basic Financial Statements

Note 6. Pension and Retirement Benefits

Plan Description – IPERS membership is mandatory for employees of the District, except for those covered by another retirement system. Employees of the District are provided with pensions through a cost-sharing multiple employer defined benefit pension plan administered by Iowa Public Employees' Retirement System (IPERS). IPERS issues a stand-alone financial report which is available to the public by mail at 7401 Register Drive P.O. Box 9117, Des Moines, Iowa 50306-9117 or at www.ipers.org.

IPERS benefits are established under Iowa Code chapter 97B and the administrative rules thereunder. Chapter 97B and the administrative rules are the official plan documents. The following brief description is provided for general informational purposes only. Refer to the plan documents for more information.

Pension Benefits – A regular member may retire at normal retirement age and receive monthly benefits without an early-retirement reduction. Normal retirement age is age 65, any time after reaching age 62 with 20 or more years of covered employment, or when the member's years of service plus the member's age at the last birthday equals or exceeds 88, whichever comes first. These qualifications must be met on the member's first month of entitlement to benefits. Members cannot begin receiving retirement benefits before age 55. The formula used to calculate a Regular member's monthly IPERS benefit includes:

- A multiplier based on years of service.
- The member's highest five-year average salary, except members with service before June 30, 2012 will use the highest three-year average salary as of that date if it is greater than the highest five-year average salary.

If a member retires before normal retirement age, the member's monthly retirement benefit will be permanently reduced by an early-retirement reduction. The early-retirement reduction is calculated differently for service earned before and after July 1, 2012. For service earned before July 1, 2012, the reduction is 0.25 percent for each month that the member receives benefits before the member's earliest normal retirement age. For service earned starting July 1, 2012, the reduction is 0.50 percent for each month that the member receives benefits before 65.

Generally, once a member selects a benefit option, a monthly benefit is calculated and remains the same for the rest of the member's lifetime. However, to combat the effects of inflation, retirees who began receiving benefits prior to July 1990 receive a guaranteed dividend with their regular November benefit payments.

Disability and Death Benefits – A vested member who is awarded federal Social Security disability or Railroad Retirement disability benefits is eligible to claim IPERS benefits regardless of age. Disability benefits are not reduced for early retirement. If a member dies before retirement, the member's beneficiary will receive a lifetime annuity or a lump-sum payment equal to the present actuarial value of the member's accrued benefit or calculated with a set formula, whichever is greater. When a member dies after retirement, death benefits depend on the benefit option the member selected at retirement.

Contributions – Contribution rates are established by IPERS following the annual actuarial valuation, which applies IPERS' Contribution Rate Funding Policy and Actuarial Amortization Method. State statute limits the amount rates can increase or decrease each year to 1 percentage point. IPERS Contribution Rate Funding Policy requires that the actuarial contribution rate be determined using the "entry age normal" actuarial cost method and the actuarial assumptions and methods approved by the IPERS Investment Board. The actuarial contribution rate covers normal cost plus the unfunded actuarial liability payment based on a 30-year amortization period. The payment to amortize the unfunded actuarial liability is determined as a level percentage of payroll, based on the Actuarial Amortization Method adopted by the Investment Board.

In fiscal year 2025, pursuant to the required rate, Regular members contributed 6.29 percent of covered payroll and the District contributed 9.44 percent of covered payroll for a total rate of 15.73 percent.

Johnston Community School District

Notes to Basic Financial Statements

Note 6. Pension and Retirement Benefits (Continued)

The District's contributions to IPERS for the year ended June 30, 2025 were \$5,803,474.

Net Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions – At June 30, 2025, the District reported a liability of \$22,534,212 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2024, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The District's proportion of the net pension liability was based on the District's share of contributions to the pension plan relative to the contributions of all IPERS participating employers. At June 30, 2024, the District's proportion was 0.618817 percent, which was an increase of 0.004871 percent from its proportion measured as of June 30, 2023.

For the year ended June 30, 2025, the District recognized pension expense of \$2,217,787. At June 30, 2025, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 1,793,066	\$ 13,998
Changes of assumptions	-	316
Net difference between projected and actual earnings on pension plan investments	281,827	-
Changes in proportion and differences between District contributions and proportionate share of contributions	291,981	1,001,859
District contributions subsequent to the measurement date	5,803,474	-
Total	\$ 8,170,348	\$ 1,016,173

\$5,803,474 reported as deferred outflows of resources related to pensions resulting from the District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2026. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended June 30,	
2026	\$ (3,359,358)
2027	5,258,441
2028	140,266
2029	(716,834)
2030	28,186
Thereafter	-
Total	\$ 1,350,701

There were no non-employer contributing entities to IPERS.

Johnston Community School District

Notes to Basic Financial Statements

Note 6. Pension and Retirement Benefits (Continued)

Actuarial Assumptions – The total pension liability in the June 30, 2024 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement, as follows:

Rate of Inflation (effective June 30, 2017)	2.60 percent per annum
Salary Increases (effective June 30, 2017)	3.25 percent to 16.25 percent average, including inflation. Rates vary by membership group.
Investment rate of return (effective June 30, 2017)	7.00 percent, compounded annually, net of investment expense, including inflation
Wage growth (effective June 30, 2017)	3.25 percent per annum, based on 2.60 percent inflation and 0.65 percent real wage inflation

The actuarial assumptions used in the June 30, 2024 valuation were based on the results of a quadrennial experience study covering the period of July 1, 2017 through June 30, 2021. Mortality rates used in the 2024 valuation were based on the PubG-2010 mortality tables with future mortality improvements modeled using Scale MP-2021.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of expected future real rates (expected returns, net of investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighing the expected future real rates of return by the target asset allocation percentage real rates of return for each major asset class are summarized in the following table:

Asset Class	Asset Allocation	Long-Term Expected Real Rate of Return
Domestic equity	21.0%	3.52%
International equity	13.0%	5.18%
Global smart beta equity	5.0%	4.12%
Core plus fixed income	25.5%	3.04%
Public credit	3.0%	4.53%
Cash	1.0%	1.69%
Private equity	17.0%	8.89%
Private real assets	9.0%	4.25%
Private credit	5.5%	6.62%
Total	100%	

Discount Rate – The discount rate used to measure the total pension liability was 7.0 percent. The projection of cash flows used to determine the discount rate assumed employee contributions will be made at the contractually required rate and contributions from the District will be made at contractually required rates, actuarially determined. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Johnston Community School District

Notes to Basic Financial Statements

Note 6. Pension and Retirement Benefits (Continued)

Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate – The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.0 percent, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.0 percent) or 1-percentage-point higher (8.0 percent) than the current rate.

	1% Decrease (6.0%)	Discount Rate (7.0%)	1% Increase (8.0%)
District's proportionate share of the net pension liability	\$ 55,298,552	\$ 22,534,212	\$ (4,906,096)

Pension Plan Fiduciary Net Position – Detailed information about the pension plan's fiduciary net position is available in the separately issued IPERS financial report which is available on IPERS' website at www.ipers.org.

Payables to the Pension Plan – At June 30, 2025, the District reported payables to the defined benefit pension plan of \$571,563 for legally required employer contributions and \$380,841 for legally required employee contributions which had been withheld from employee wages but not yet remitted to IPERS.

Note 7. Other Postemployment Benefits (OPEB)

Plan description: The District's defined benefit OPEB plan, Johnston Community School District Postemployment Plan Other Than Pensions (the Plan), provides postemployment benefits for eligible participants enrolled in its plans. The Plan is a single employer defined benefit OPEB plan administered by the District. Under Chapter 509A.13 of the Code of Iowa, "Group Insurance for Public Employees," if a governing body has procured insurance for its employees, the governing body shall allow its employees who retired before the age of sixty-five years of age to continue participation in the group plan at the employee's own expense until the employee attains sixty-five years of age. No assets are accumulated in a trust that meets the criteria in paragraph 4 of GASB Statement No. 75.

Benefits provided: The Plan provides healthcare benefits including medical and prescription drug benefits for retirees and their dependents. Retiree health care coverage is available to pre-age 65 eligible retirees. All employees are required to contribute the full premium in order to continue coverage at retirement. The full monthly premium rates as of July 1, 2025 for each plan are as shown below:

	Rate Tier	Health
Single		\$ 822
Family		1,644

Johnston Community School District

Notes to Basic Financial Statements

Note 7. Other Postemployment Benefits (OPEB) (Continued)

Employees covered by benefit terms: At June 30, 2025, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefit payments	25
Inactive employees entitled to but not yet receiving benefit payments	-
Active employees	950
	<u>975</u>

Total OPEB Liability

The District's total OPEB liability of \$4,976,349 was measured as of June 30, 2025 and was determined by an actuarial valuation as of June 30, 2024 rolled forward to June 30, 2025.

Actuarial assumptions and other inputs: The total OPEB liability in the June 30, 2025 roll forward actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement unless otherwise specified:

Inflation	2.70% per annum
Salary increases	3.25% per annum
Discount rate	5.20% per annum
Retirees' share of benefit-related costs	100%
Health care cost trend rate	7.75% initial rate decreasing to an ultimate rate of 4.00%

The discount rate was based on the Bond Buyer 20-Bond GO index. Mortality rates were based on the RP-2014 generational table scaled using MP-19 and applied on a gender-specific basis. The actuarial assumptions used in the June 30, 2025 roll forward valuation were based on the results of an actuarial experience study for the period 2010– 2021.

Changes in the Total OPEB Liability

	Increase (Decrease) Total OPEB Liability (a)
Balance at July 1, 2024	\$ 4,962,531
Changes for the year:	
Service cost	544,752
Interest	212,278
Changes of benefit terms	-
Differences between expected and actual experience	-
Changes in assumptions or other inputs	(531,584)
Benefit payments	(211,628)
Net changes	13,818
Balance at June 30, 2025	<u>\$ 4,976,349</u>

Johnston Community School District

Notes to Basic Financial Statements

Note 7. Other Postemployment Benefits (OPEB) (Continued)

There were no changes as a result of changes in benefit terms. The discount rate was 3.93% per annum in 2024 and 5.20% per annum in 2025.

Sensitivity of the total OPEB liability to changes in the discount rate: The following presents the total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using a discount rate that is 1 percentage point lower or 1 percentage point higher than the current discount rate:

	1% Decrease	Discount Rate	1% Increase
	4.20%	5.20%	6.20%
Total OPEB liability	\$ 5,394,000	\$ 4,976,349	\$ 4,594,000

Sensitivity of the total OPEB liability to changes in the healthcare cost trend rates: The following presents that total OPEB liability of the District, as well as what the District's total OPEB liability would be if it were calculated using healthcare cost trend rates that are 1 percentage point lower or 1-percentage point higher than the current healthcare cost trend rates:

	1% Decrease	Healthcare Cost Trend Rates	1% Increase
	6.75%	7.75%	8.75%
Total OPEB liability	\$ 4,412,000	\$ 4,976,349	\$ 5,645,000

For the year ended June 30, 2025, the District recognized OPEB expense of \$549,764. At June 30, 2025, the District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	\$ 618,832	\$ 1,342,548
Changes of assumptions or other inputs	313,366	718,157
Net difference between projected and actual investments	-	-
Total	\$ 932,198	\$ 2,060,705

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

Year ended June 30:

2026	\$ (80,255)
2027	(80,255)
2028	(80,255)
2029	(68,346)
2030	(74,645)
Thereafter	(744,751)
	<u>\$ (1,128,507)</u>

Johnston Community School District

Notes to Basic Financial Statements

Note 8. Risk Management

Johnston Community School District is exposed to various risks of loss related to torts; theft; damage to and destruction of assets; errors and omissions; injuries to employees; and natural disasters. These risks are covered by the purchase of commercial insurance. There were no significant reductions in insurance coverage from the prior year. The District assumes liability for any deductibles and claims in excess of coverage limitations. Settled claims from these risks have not exceeded commercial insurance coverage in any of the past three fiscal years.

In addition to the above, the District operates a self-funded insurance program administered by a third-party administrator for its employees' and eligible dependents medical benefits. The program is supplemented by stop loss protection, which limits the District's liability to \$100,000 per individual medical claim or an aggregate limit of 125% of expected paid claims.

The District operates a totally self-funded insurance program administered by a third-party administrator for its employees' and eligible dependents' dental benefits. The program liability is limited to \$1,000 per individual per year.

Changes in the balances of claims payable during the years ended June 30, 2025 and 2024 are as follows:

	Self-Insurance Fund	
	2024	2025
Claims payable, beginning of year	\$ 1,640,684	\$ 1,558,585
Incurred claims	11,310,350	13,900,207
Claim payments	11,392,449	14,178,394
Claim payable, end of year	<u>\$ 1,558,585</u>	<u>\$ 1,280,398</u>

Note 9. Deficit Fund Balance

The District's nonmajor enterprise funds Community Education and Community Preschool had deficit fund balances of \$274,261 and \$71,744 respectively. The District plans to eliminate these deficits through future charges for services of the programs.

Note 10. Area Education Agency

The District is required by the Code of Iowa to budget for its share of special education support, media and educational services provided through the area education agency. The District's actual amount for this purpose totaled \$2,712,126 for the year ended June 30, 2025 and is recorded in the General Fund.

The Governor signed House File 2612 on March 27, 2024, which changes the percentage of educational and media services funding generated through local property taxes by Districts which flow through to each Area Education Agency (AEA) beginning July 1, 2024. For fiscal year 2026, 100% of the educational and media services funds generated by Districts will be received directly by the District and none will flow through to the AEAs. Also, for fiscal year 2026, Districts will flow through 90% (instead of 100%) of special education support services funds to AEAs, who will code the funds as a combination of state aid and property taxes.

Johnston Community School District

Notes to Basic Financial Statements

Note 11. Categorical Funding

The District's fund balance restricted for categorical funding as of June 30, 2025 is comprised of the following programs:

Program	Amount
Teacher leadership	\$ 242,988
Successful progression for early readers	58,691
Professional development	1,489,826
Teacher leadership supplement	236,839
4 year old preschool	239,679
Teacher salary supplement	79,138
Other	171,174
Total	\$ 2,518,335

Note 12. Commitments

The District has entered contract commitments of \$7,312,196 of which \$3,973,992 has been paid as of June 30, 2025. The unpaid commitment balance is \$3,338,204. Revenue and general obligation bonds will provide funding for these future expenditures.

Note 13. Tax Abatements

Governmental Accounting Standards Board Statement No. 77 defines tax abatements as a reduction in tax revenues that results from an agreement between one or more governments and an individual or entity in which (a) one or more governments promise to forgo tax revenues to which they are entitled and (b) the individual or entity promises to take a specific action after the agreement has been entered into that contributes to economic development or otherwise benefits the governments or the citizens of those governments.

Property tax revenues of the District were reduced by the following amounts for the year ended June 30, 2025 under tax abatement agreements of other entities:

Entity	Tax Abatement Program	Amount of Tax Abated
City of Johnston, Iowa	Urban renewal and economic development projects	\$ 1,043,085
City of Urbandale, Iowa	Urban renewal and economic development projects	144,230
City of Grimes, Iowa	Urban renewal and economic development projects	335,415

The State of Iowa reimburses the District an amount equivalent to the increment of valuation on which property tax is divided times \$5.40 per \$1,000 of taxable valuation. For the year ended June 30, 2025, this reimbursement amounted to \$744,053.

Johnston Community School District

Notes to Basic Financial Statements

Note 14. Governmental Accounting Standards Board (GASB) Pronouncements

The District adopted the following statements during the year ended June 30, 2025:

GASB Statement No. 101, *Compensated Absences*, issued June 2022. The objective of this Statement is to better meet the information needs of financial statement users by updating the recognition and measurement guidance for compensated absences. That objective is achieved by aligning the recognition and measurement guidance under a unified model and by amending certain previously required disclosures. This Statement requires that liabilities for compensated absences be recognized for (1) leave that has not been used and (2) leave that has been used but not yet paid in cash or settled through noncash means. A liability should be recognized for leave that has not been used if (a) the leave is attributable to services already rendered, (b) the leave accumulates, and (c) the leave is more likely than not to be used for time off or otherwise paid in cash or settled through noncash means. With respect to financial statements prepared using the current financial resources measurement focus, this Statement requires that expenditures be recognized for the amount that normally would be liquidated with expendable available financial resources. This Statement amends the existing requirements to disclose the gross increases and decreases in a liability for compensated absences to allow governments to disclose only the net change in the liability (As long as they identify it as a net change). In addition, governments are no longer required to disclose which governmental funds typically have been used to liquidate the liability for compensated absences.

GASB Statement No. 102, *Certain Risk Disclosures*, issued December 2023. The objective of this Statement is to provide users of government financial statements with information about risks related to a government's vulnerabilities due to certain concentrations or constraints that is essential to their analyses for making decisions or assessing accountability. A government should provide information in sufficient detail to enable users of financial statements to understand the nature of the circumstances disclosed and the government's vulnerability to the risk of a substantial impact associated with the concentration or constraint. The disclosures should include descriptions of the following: (a) The concentration or constraint (b) Each event associated with the concentration or constraint that could cause a substantial impact if the event had occurred or had begun to occur prior to the issuance of the financial statements (c) Actions taken by the government prior to the issuance of the financial statements to mitigate the risk.

The above statements did not have a significant impact to the District except for GASB Statement No. 101 required the District to restate beginning net position of the governmental activities, business-type activities, and nonmajor enterprise funds School Nutrition, Community Education and Community Child Care.

As of June 30, 2025, GASB had issued several statements not yet required to be implemented by the District. The Statements which might impact the District are as follows:

GASB Statement No. 103, *Financial Reporting Model Improvements*, issued April 2024, will be effective for the District beginning with its fiscal year ending June 30, 2026. The objective of this statement is to improve key components of the financial reporting model to enhance its effectiveness in providing information that is essential for decision making and assessing a government's accountability. This statement also addresses certain application issues.

Johnston Community School District

Notes to Basic Financial Statements

Note 14. Governmental Accounting Standards Board (GASB) Pronouncements (Continued)

GASB Statement No. 104, *Disclosure of Certain Capital Assets*, issued September 2024, will be effective for the District beginning with its fiscal year ending June 30, 2026. The objective of this statement is to provide users of government financial statements with essential information about certain types of capital assets. This Statement requires certain types of capital assets to be disclosed separately in the capital assets note disclosures required by Statement 34. Lease assets recognized in accordance with Statement No. 87, *Leases*, and intangible right-to-use assets recognized in accordance with Statement No. 94, *Public-Private and Public-Public Partnerships and Availability Payment Arrangements*, should be disclosed separately by major class of underlying asset in the capital assets note disclosures. Subscription assets recognized in accordance with Statement No. 96, *Subscription-Based Information Technology Arrangements*, also should be separately disclosed. In addition, this Statement requires intangible assets other than those three types to be disclosed separately by major class. This Statement also requires additional disclosures for capital assets held for sale.

GASB Statement No. 105, *Subsequent Events*, issued December 17, 2025, will be effective for the District beginning with its fiscal year ending June 30, 2027. This Statement is intended to enhance consistency in the application of requirements for subsequent events. The Statement defines subsequent events as transactions or other events that occur after the date of the financial reporting statements but before the date the financial statements are available to be issued. The definition of subsequent events in this Statement modifies the subsequent events time frame throughout the GASB literature. Statement No. 105 also clarifies the different types of subsequent events, when note disclosures are required, and the information that should be included in those note disclosures.

The District's management has not yet determined the effect these Statements will have on the District's financial statements.

Note 15. Restatement

The District implemented GASB Statement No. 101, *Compensated Absences*, which required the District to restate net position as of June 30, 2024, follows:

	Governmental Activities	Business-Type Activities
Net position June 30, 2024, as previously reported	\$ 178,138,737	\$ 7,011,798
Compensated absences previously reported	233,281	25,000
Compensated absences liability, change in accounting principle	(4,954,946)	(182,010)
Net position June 30, 2024, as restated	<u>\$ 173,417,072</u>	<u>\$ 6,854,788</u>

	Nonmajor Enterprise		
	School Nutrition	Community Education	Community Child Care
Net position June 30, 2024, as previously reported	\$ 4,102,181	\$ (268,778)	\$ 3,214,305
Compensated absences previously reported	8,706	6,538	9,756
Compensated absences liability, change in accounting principle	(79,183)	(37,746)	(65,081)
Net position June 30, 2024, as restated	<u>\$ 4,031,704</u>	<u>\$ (299,986)</u>	<u>\$ 3,158,980</u>

Johnston Community School District

Required Supplementary Information

Budgetary Comparison Schedule of Revenues, Expenditures/Expenses and Changes in

Balances - Actual to Budget - All Governmental Funds and Enterprise Funds

Year Ended June 30, 2025

	Governmental Funds - Actual	Enterprise Funds - Actual
Revenues:		
Local sources	\$ 55,339,913	\$ 6,078,861
State sources	61,927,567	44,822
Federal sources	2,942,796	2,134,566
Total revenues	120,210,276	8,258,249
Expenditures/expenses:		
Current:		
Instruction	74,716,275	418,415
Support services	34,129,937	370,568
Noninstructional programs	185,880	7,130,856
Other expenditures	14,772,483	-
Total expenditures/expenses	123,804,575	7,919,839
Excess (deficiency) of revenues over (under) expenditures/expenses	(3,594,299)	338,410
Other financing sources (uses), net	658,224	(346,257)
Net change in fund balances:	(2,936,075)	(7,847)
Balance, beginning of year, as restated	41,025,058	6,854,788
Balance, end of year	<u>\$ 38,088,983</u>	<u>\$ 6,846,941</u>

See Notes to Required Supplementary Information.

Total Actual		Budgeted Amounts		Final to Actual
		Original	Final	Variance
\$	61,418,774	\$ 57,729,151	\$ 57,729,151	\$ 3,689,623
	61,972,389	61,774,692	61,774,692	197,697
	5,077,362	5,450,000	5,450,000	(372,638)
	128,468,525	124,953,843	124,953,843	3,514,682
	75,134,690	73,675,088	73,675,088	(1,459,602)
	34,500,505	34,320,820	34,320,820	(179,685)
	7,316,736	6,522,893	6,522,893	(793,843)
	14,772,483	16,711,092	16,711,092	1,938,609
	131,724,414	131,229,893	131,229,893	(494,521)
	(3,255,889)	(6,276,050)	(6,276,050)	3,020,161
	311,967	10,000	10,000	301,967
	(2,943,922)	(6,266,050)	(6,266,050)	3,322,128
	47,879,846			
\$	44,935,924			

Johnston Community School District

**Required Supplementary Information
Schedule of Changes in the District's Total OPEB
Liability and Related Ratios
Last Eight Fiscal Years**

	2025	2024
Total OPEB liability		
Changes for the year:		
Service cost	\$ 544,752	\$ 436,596
Interest	212,278	161,592
Changes of benefit terms	-	-
Differences between expected and actual experience	-	360,221
Changes in assumptions or other inputs	(531,584)	100,675
Benefit payments	(211,628)	(174,296)
Net changes in total OPEB liability	13,818	884,788
Total OPEB liability - beginning	4,962,531	4,077,743
Total OPEB liability - ending	<u>\$ 4,976,349</u>	<u>\$ 4,962,531</u>
Covered employee payroll	\$ 52,686,000	\$ 51,027,678
Total OPEB liability as a percentage of covered employee payroll	9.45%	9.73%

Notes to Schedule:

Changes of benefit terms:

There were no changes as a result of changes in benefit terms.

Changes of assumption:

The following are the discount rates used in each period:	5.20%	3.93%
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No assets are accumulated in a trust that meets the criteria in paragraph 4 of Statement No. 75

* The schedule is intended to present information for ten years.
Information prior to 2018 is not available.

2023	2022	2021	2020	2019	2018
\$ 428,114	\$ 567,686	\$ 555,957	\$ 384,738	\$ 353,543	\$ 340,371
142,618	119,459	109,711	130,180	126,591	118,855
-	-	-	-	-	-
-	-	-	-	-	-
(37,787)	(1,949,967)	20,548	744,406	103,555	(152,476)
(111,618)	(87,200)	(176,250)	(195,075)	(138,020)	(102,504)
421,327	(1,350,022)	509,966	1,064,249	445,669	204,246
3,656,416	5,006,438	4,496,472	3,432,223	2,986,554	2,782,309
\$ 4,077,743	\$ 3,656,416	\$ 5,006,438	\$ 4,496,472	\$ 3,432,223	\$ 2,986,555
\$ 45,742,000	\$ 44,194,724	\$ 34,031,000	\$ 33,039,404	\$ 39,681,000	\$ 38,338,704
8.91%	8.27%	14.71%	13.61%	8.65%	7.79%
3.65%	3.54%	2.16%	2.21%	3.50%	3.58%

Johnston Community School District

Required Supplementary Information

Schedule of the District's Proportionate Share of the Net Pension Liability

Iowa Public Employees' Retirement System

Last Ten Fiscal Years

	2025*	2024*	2023*
District's proportion of the net pension liability	0.618817%	0.613946%	0.617167%
District's proportionate share of the net pension liability	\$ 22,534	\$ 27,711	\$ 24,496
District's covered payroll	\$ 57,184	\$ 53,992	\$ 52,274
District's proportionate share of the net pension liability as a percentage of its covered payroll	39.41%	51.32%	46.86%
Plan fiduciary net pension as a percentage of the total pension liability	92.30%	90.13%	91.40%

Note: Amounts in thousands

*The amounts presented for each fiscal year were determined as of the prior fiscal year-end.

See Notes to Required Supplementary Information.

2022*	2021*	2020*	2019*	2018*	2017*	2016*
0.626386%	0.645662%	0.650501%	63.761100%	0.618953%	0.643295%	0.637961%
\$ 878	\$ 45,040	\$ 37,921	\$ 40,337	\$ 40,861	\$ 40,117	\$ 31,716
\$ 50,875	\$ 50,884	\$ 49,816	\$ 47,918	\$ 45,789	\$ 45,752	\$ 43,990
1.73%	88.52%	76.12%	84.18%	89.24%	87.68%	72.10%
100.81%	82.90%	85.45%	83.62%	82.21%	81.82%	85.19%

Johnston Community School District

Required Supplementary Information
Schedule of District Contributions
Iowa Public Employees' Retirement System
Last Ten Fiscal Years

	2025	2024	2023	2022
Statutorily required contribution	\$ 5,803	\$ 5,387	\$ 5,097	\$ 4,935
Contributions in relation to the statutorily required contribution	\$ (5,803)	\$ (5,387)	\$ (5,097)	\$ (4,935)
Contribution deficiency (excess)	\$ -	\$ -	\$ -	\$ -
District's covered payroll	\$ 61,600	\$ 57,184	\$ 53,992	\$ 52,274
Contributions as a percentage of covered payroll	9.42%	9.42%	9.44%	9.44%

Note: Amounts in thousands

See Notes to Required Supplementary Information.

2021		2020		2019		2018		2017		2016	
\$	4,803	\$	4,810	\$	4,703	\$	4,279	\$	4,089	\$	4,086
\$	(4,803)	\$	(4,810)	\$	(4,703)	\$	(4,279)	\$	(4,089)	\$	(4,086)
\$	-	\$	-	\$	-	\$	-	\$	-	\$	-
\$	50,875	\$	50,884	\$	49,816	\$	47,918	\$	45,789	\$	45,752
	9.44%		9.45%		9.44%		8.93%		8.93%		8.93%

Johnston Community School District

Notes to Required Supplementary Information

Note 1. Budgets and Budgetary Information

This budgetary comparison is presented as Required Supplementary Information in accordance with Governmental Accounting Standards Board Statement No. 41 for governments with significant budgetary perspective differences resulting from not being able to present budgetary comparisons for the General Fund and each major Special Revenue Fund.

In accordance with the Code of Iowa, the Board of Education annually adopts a budget following required public notice and hearing for all funds except internal service, private-purpose trust and custodial funds. The budget may be amended during the year utilizing similar statutorily prescribed procedures. The District's budget is prepared in accordance with generally accepted accounting principles.

Formal and legal budgetary control for the certified budget is based upon four major classes or expenditures known as functions, not by fund or fund type. These four functions are instruction, support services, noninstructional programs and other expenditures. Although the budget document presents function expenditures or expenses by fund, the legal level of control is at the aggregated function level, not by fund. The Code of Iowa also provides that District expenditures in the General Fund may not exceed the amount authorized by the school finance formula. During the year, the District overexpended the instruction, support services and noninstructional programs functions by \$1,459,602, \$179,685 and \$793,843 respectively.

Note 2. Iowa Public Employees' Retirement System Pension Liability

Changes of benefit terms:

There are no significant changes in benefit terms.

Changes of assumptions:

The 2022 valuation incorporated the following refinements after a quadrennial experience study:

- Changed mortality assumptions to the PubG-2010 mortality tables with mortality improvements modeled using Scale MP-2021.
- Adjusted retirement rates for Regular members.
- Lowered disability rates for Regular members.
- Adjusted termination rates for all membership groups.

The 2018 valuation implemented the following refinements as a result of a demographic assumption study dated June 28, 2018:

- Changed mortality assumptions to the RP-2014 mortality tables with mortality improvements modeled using Scale MP-2017.
- Adjusted retirement rates.
- Lowered disability rates.
- Adjusted the probability of a vested Regular member electing to receive a deferred benefit.
- Adjusted the merit component of the salary increase assumption.

Johnston Community School District

Notes to Required Supplementary Information

Note 2. Iowa Public Employees' Retirement System Pension Liability (Continued)

The 2017 valuation implemented the following refinements as a result of an experience study dated March 24, 2017:

- Decreased the inflation assumption from 3.00% to 2.60%.
- Decreased the assumed rate of interest on member accounts from 3.75% to 3.50% per year.
- Decreased the discount rate from 7.50% to 7.00%.
- Decreased the wage growth assumption from 4.00% to 3.25%.
- Decreased the payroll growth assumption from 4.00% to 3.25%.

Johnston Community School District

Combining Balance Sheet
Nonmajor Governmental Funds
June 30, 2025

	Debt Service	Special Revenue Student Activity	Total
Assets			
Cash, cash equivalents and investments	\$ 2,600	\$ 664,341	\$ 666,941
Receivables:			
Other	-	66,803	66,803
Total assets	\$ 2,600	\$ 731,144	\$ 733,744
Liabilities and fund balances			
Liabilities:			
Accounts payable	\$ 2,600	\$ 90,866	\$ 93,466
Total liabilities	2,600	90,866	93,466
Fund balances:			
Restricted for:			
Student activities	-	640,278	640,278
Total fund balances	-	640,278	640,278
Total liabilities and fund balances	\$ 2,600	\$ 731,144	\$ 733,744

Johnston Community School District

Combining Statement of Revenues, Expenditures and Changes in Fund Balances
Nonmajor Governmental Funds
Year Ended June 30, 2025

	Debt Service	Special Revenue Student Activity	Total
Revenues:			
Local sources:			
Other	\$ -	\$ 1,280,929	\$ 1,280,929
Total revenues	-	1,280,929	1,280,929
Expenditures:			
Instruction:			
Vocational and other	-	1,253,997	1,253,997
Support services:			
Administration	-	7,938	7,938
Debt service:			
Principal retirement	4,524,281	-	4,524,281
Interest and fiscal charges	1,576,240	-	1,576,240
Total expenditures	6,100,521	1,261,935	7,362,456
Excess (deficiency) of revenues over (under) expenditures	(6,100,521)	18,994	(6,081,527)
Other financing sources:			
Transfers in	6,100,521	-	6,100,521
Total other financing sources	6,100,521	-	6,100,521
Net change in fund balances	-	18,994	18,994
Fund balances, beginning of year	-	621,284	621,284
Fund balances, end of year	\$ -	\$ 640,278	\$ 640,278

Johnston Community School District

Schedule of Combining Balance Sheet
Capital Projects Fund - By Account
June 30, 2025

	Capital Projects Accounts		
	Statewide	Physical Plant	
	Sales, Services	and Equipment	
	and Use Tax	Levy	Total
Assets			
Cash, cash equivalents, and investments	\$ 11,769,695	\$ 5,736,671	\$ 17,506,366
Receivables:			
Property tax:			
Current year	-	18,169	18,169
Succeeding year	-	5,885,155	5,885,155
Due from other governments	948,534	328,033	1,276,567
Other receivables	-	3,333	3,333
Total assets	\$ 12,718,229	\$ 11,971,361	\$ 24,689,590
Liabilities, Deferred Inflows of Resources, and Fund Balances			
Liabilities:			
Accounts payable	\$ 369,495	\$ 1,116,112	\$ 1,485,607
Total liabilities	369,495	1,116,112	1,485,607
Deferred Inflows of Resources:			
Unavailable revenue:			
Succeeding year property tax	-	5,885,155	5,885,155
Grants	-	324,017	324,017
Total deferred inflows of resources	-	6,209,172	6,209,172
Fund Balances:			
Restricted for:			
Physical plant and equipment	-	4,646,077	4,646,077
School infrastructure	12,348,734	-	12,348,734
Total fund balances	12,348,734	4,646,077	16,994,811
Total liabilities, deferred inflows of resources and fund balances	\$ 12,718,229	\$ 11,971,361	\$ 24,689,590

Johnston Community School District

Schedule of Combining Statement of Revenues, Expenditures and Changes in Fund Balances
Capital Projects Fund - By Account
Year Ended June 30, 2025

	Capital Projects Accounts		
	Statewide	Physical	
	Sales, Services	Plant and	
	and Use Tax	Equipment	
		Levy	Total
Revenues:			
Local sources:			
Property tax	\$ -	\$ 5,568,473	\$ 5,568,473
Utility excise tax	-	79,539	79,539
Other tax	-	3,361	3,361
Interest income	278,693	149,725	428,418
Other	-	40,073	40,073
State sources	9,045,095	42,413	9,087,508
Federal sources	-	89,045	89,045
Total revenues	9,323,788	5,972,629	15,296,417
Expenditures:			
Current:			
Instruction:			
Regular	16,712	223,772	240,484
Support services:			
Instructional staff	707,765	560,654	1,268,419
Administration services	160,252	29,268	189,520
Operation and maintenance of plant services	104,252	99,307	203,559
Student transportation	-	844,260	844,260
Capital outlay:			
Facilities acquisition	941,200	5,018,636	5,959,836
Total expenditures	1,930,181	6,775,897	8,706,078
Excess (deficiency) of revenues over (under) expenditures	7,393,607	(803,268)	6,590,339
Other financing sources (uses):			
Issuance of lease	3,611	-	3,611
Transfers in	-	119,124	119,124
Transfers out	(5,353,511)	(654,717)	(6,008,228)
Total other financing sources (uses)	(5,349,900)	(535,593)	(5,885,493)
Net change in fund balance	2,043,707	(1,338,861)	704,846
Fund balance, beginning of year	10,305,027	5,984,938	16,289,965
Fund balance, end of year	\$ 12,348,734	\$ 4,646,077	\$ 16,994,811

Johnston Community School District

Combining Statement of Net Position

Nonmajor Enterprise Funds

June 30, 2025

	Business-Type Activities				
	Enterprise Funds				
	School Nutrition	Community Education	Community Preschool	Community Child Care	Total
Assets					
Cash and cash equivalents	\$ 4,300,568	\$ 56,889	\$ 27,888	\$ 4,154,178	\$ 8,539,523
Due from other governments	14,458	-	-	-	14,458
Other receivables	14,725	955	-	11,746	27,426
Inventories	86,032	-	-	-	86,032
Capital assets, net of accumulated depreciation	510,458	880	289	13,446	525,073
Total assets	4,926,241	58,724	28,177	4,179,370	9,192,512
Deferred Outflows of Resources					
OPEB related amounts	37,754	2,050	4,941	12,958	57,703
Pension related amounts	179,747	47,388	32,681	151,152	410,968
Total deferred outflows of resources	217,501	49,438	37,622	164,110	468,671
Liabilities					
Accounts payable	94,489	34,667	-	91,026	220,182
Salaries and benefits payable	111,051	58,401	-	56,624	226,076
Unearned revenue	151,384	110,618	6,045	316,393	584,440
Compensated absences	83,727	26,663	-	52,977	163,367
Other postemployment benefits obligation	201,542	10,948	26,375	69,171	308,036
Net pension liability	495,753	130,698	90,137	416,883	1,133,471
Total liabilities	1,137,946	371,995	122,557	1,003,074	2,635,572
Deferred Inflows of Resources:					
OPEB related amounts	83,458	4,534	10,922	28,643	127,557
Pension related amounts	22,356	5,894	4,064	18,799	51,113
Total deferred inflows of resources	105,814	10,428	14,986	47,442	178,670
Net Position					
Net investment in capital assets	510,458	880	289	13,446	525,073
Unrestricted	3,389,524	(275,141)	(72,033)	3,279,518	6,321,868
Total net position	\$ 3,899,982	\$ (274,261)	\$ (71,744)	\$ 3,292,964	\$ 6,846,941

Johnston Community School District

Combining Statement of Revenues, Expenses and Changes in Net Position

Nonmajor Enterprise Funds

Year Ended June 30, 2025

	Business-Type Activities				
	Enterprise Funds				
	School Nutrition	Community Education	Community Preschool	Community Child Care	Total
Operating revenues:					
Local sources:					
Other local sources:					
Sale of lunches and breakfast:					
Students	\$ 1,513,650	\$ -	\$ -	\$ -	\$ 1,513,650
Adults	11,261	-	-	-	11,261
A la carte	402,330	-	-	-	402,330
Special functions	153,251	-	-	-	153,251
Charges for services	-	649,195	276,768	2,626,308	3,552,271
Other	42,178	88,980	-	-	131,158
Total operating revenues	2,122,670	738,175	276,768	2,626,308	5,763,921
Operating expenses:					
Instruction:					
Salaries	-	-	186,628	-	186,628
Employee benefits	-	-	51,490	-	51,490
Purchased services	-	-	18,265	-	18,265
Supplies	-	-	7,126	-	7,126
Miscellaneous	-	145	-	154,761	154,906
Support services:					
Salaries	-	-	43,210	82,428	125,638
Employee benefits	-	-	19,347	31,506	50,853
Purchased services	1,779	18,014	6,062	168,163	194,018
Depreciation	-	-	59	-	59
Noninstructional programs:					
Salaries	1,383,456	385,840	-	1,584,592	3,353,888
Employee benefits	565,677	69,515	-	267,894	903,086
Purchased services	120,690	153,138	-	4,694	278,522
Supplies	485,297	62,310	-	198,971	746,578
Food consumed	1,630,439	-	-	-	1,630,439
Other	65,474	23,099	-	-	88,573
Depreciation	125,334	389	-	4,047	129,770
Total operating expenses	4,378,146	712,450	332,187	2,497,056	7,919,839
Operating income (loss)	(2,255,476)	25,725	(55,419)	129,252	(2,155,918)
Nonoperating revenues:					
Interest income	161,338	-	1,320	152,282	314,940
State appropriations	26,557	-	18,265	-	44,822
Federal food commodities revenue	331,312	-	-	-	331,312
Federal appropriations	1,800,804	-	-	2,450	1,803,254
Total nonoperating revenues	2,320,011	-	19,585	154,732	2,494,328
Income (loss) before transfers	64,535	25,725	(35,834)	283,984	338,410
Transfer out	(196,257)	-	-	(150,000)	(346,257)
Change in net position	(131,722)	25,725	(35,834)	133,984	(7,847)
Net position, beginning of year, as restated	4,031,704	(299,986)	(35,910)	3,158,980	6,854,788
Net position, end of year	<u>\$ 3,899,982</u>	<u>\$ (274,261)</u>	<u>\$ (71,744)</u>	<u>\$ 3,292,964</u>	<u>\$ 6,846,941</u>

Johnston Community School District

Combining Statement of Cash Flows
Nonmajor Enterprise Funds
Year Ended June 30, 2025

	Business-Type Activities				
	Enterprise Funds				
	School Nutrition	Community Education	Community Preschool	Community Child Care	Total
Cash flows from operating activities:					
Cash received from user charges	\$ 2,185,852	\$ 810,077	\$ 282,813	\$ 2,640,117	\$ 5,918,859
Cash payments to employees for services	(2,005,765)	(487,340)	(309,168)	(2,031,063)	(4,833,336)
Cash payments to suppliers for goods and services	(1,937,722)	(265,230)	(31,666)	(516,706)	(2,751,324)
Net cash provided by (used in) operating activities	(1,757,635)	57,507	(58,021)	92,348	(1,665,801)
Cash flows from noncapital financing activities:					
Payments to other funds	(196,257)	-	-	(150,000)	(346,257)
State grants received	26,557	-	18,265	-	44,822
Federal grants received	1,799,726	-	-	-	1,799,726
Net cash provided by (used in) noncapital financing activities	1,630,026	-	18,265	(150,000)	1,498,291
Cash flows from capital and related financing activities:					
Acquisition of capital assets	(59,536)	(818)	-	(14,090)	(74,444)
Net cash (used in) capital and related financing activities	(59,536)	(818)	-	(14,090)	(74,444)
Cash flows from investing activities, interest received	161,338	-	1,320	152,282	314,940
Net increase (decrease) in cash and cash equivalents	(25,807)	56,689	(38,436)	80,540	72,986
Cash and Cash Equivalents					
Beginning	4,326,375	200	66,324	4,073,638	8,466,537
Ending	<u>\$ 4,300,568</u>	<u>\$ 56,889</u>	<u>\$ 27,888</u>	<u>\$ 4,154,178</u>	<u>\$ 8,539,523</u>

(Continued)

Johnston Community School District

Combining Statement of Cash Flows (Continued)

Nonmajor Enterprise Funds

Year Ended June 30, 2025

	Business-Type Activities				
	Enterprise Funds				Total
	School Nutrition	Community Education	Community Preschool	Community Child Care	
Reconciliation of operating income (loss) to net cash provided by (used in) operating activities:					
Operating income (loss)	\$ (2,255,476)	\$ 25,725	\$ (55,419)	\$ 129,252	\$ (2,155,918)
Adjustments to reconcile operating income (loss) to net cash provided by (used in) operating activities:					
Depreciation	125,334	389	59	4,047	129,829
Federal commodities used	331,312	-	-	-	331,312
Change in assets and liabilities:					
(Increase) decrease in other receivables	(12,240)	85,033	-	11,310	84,103
(Increase) in inventories	(14,300)	-	-	-	(14,300)
Increase (decrease) in accounts payable and accrued liabilities	48,945	(8,524)	(213)	9,883	50,091
Increase (decrease) in compensated absences	4,544	(11,083)	-	(12,104)	(18,643)
Increase (decrease) in unearned revenues	75,422	(13,131)	6,045	2,499	70,835
Increase (decrease) in other postemployment benefits obligation and related deferrals	17,710	(103)	5,850	13,796	37,253
(Decrease) in net pension liability and related deferrals	(78,886)	(20,799)	(14,343)	(66,335)	(180,363)
Net cash provided by (used in) operating activities	\$ (1,757,635)	\$ 57,507	\$ (58,021)	\$ 92,348	\$ (1,665,801)
Noncash items:					
Noncapital financing activities, commodities received from the U.S. Department of Agriculture	\$ 331,312	\$ -	\$ -	\$ -	\$ 331,312

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Johnston Community School District

Schedule of Expenditures of Federal Awards Year Ended June 30, 2025

Federal Grantor/Pass-Through Grantor/ Program Title or Cluster Title	Federal Assistance Listing Number	Pass-Through Entity Identifying Number	Provided to Subrecipients	Total Federal Expenditures
Indirect:				
U.S. Department of Agriculture:				
Pass-Through Iowa Department of Education:				
Child Nutrition Cluster Programs:				
School Breakfast Program	10.553	FY25 4552	\$ -	\$ 343,486
National School Lunch Program	10.555	FY25 4553	-	1,434,210
Commodities -DOD (Noncash)	10.555	FY25	-	120,180
Commodities (Noncash)	10.555	FY25	-	211,132
			-	1,765,522
Summer Food Service Program for Children	10.559	FY25 4556	-	21,108
Total Child Nutrition Cluster Program			-	2,130,116
Pass-Through Iowa Department of Natural Resources:				
Trees for Schools	10.727	FY25 4572	-	2,000
Total U.S. Department of Agriculture			-	2,132,116
U.S. Department of Treasury:				
Pass-Through Iowa Department of Homeland Security and Emergency Management:				
COVID-19 Coronavirus School Safety Improvement Fund	21.027	FY25 4034	-	324,017
U.S. Department of Education:				
Pass-Through Iowa Department of Education:				
Title I Grants to Local Educational Agencies	84.010	FY25 4501	-	689,215
Title I Grants to Local Educational Agencies	84.010	FY25 4508	-	48,939
			-	738,154
Career and Technical Education -				
Basic Grants to States	84.048	FY25 4531	-	70,883
English Language Acquisition State Grants	84.365	FY25 4644	-	39,986
Supporting Effective Instruction State Grants-				
Federal Teacher Quality Program	84.367	FY25 4643	-	235,022
Student Support and Academic Enrichment Program	84.424	FY25 4669	-	37,744
Education Stabilization Fund:				
COVID-19 Education Stabilization Fund Rethink K-12				
Education Models Discretionary Grant	84.425B	FY25 4053	-	287,046
COVID-19 ARP-Elementary and Secondary				
School Emergency Relief (ARP-ESSER) Fund	84.425U	FY25 4057	-	58,270
Total Education Stabilization Fund			-	345,316
Pass-Through Heartland Area Education Agency:				
Special Education Cluster,				
Special Education - Grants to States				
IDEA, Part B	84.027	FY25 4521	-	316,654
Total U.S. Department of Education			-	1,783,759

(Continued)

Johnston Community School District

Schedule of Expenditures of Federal Awards (Continued)

Year Ended June 30, 2025

Federal Grantor/Pass-Through Grantor/ Program Title or Cluster Title	Federal Assistance Listing Number	Pass-Through Entity Identifying Number	Provided to Subrecipients	Total Federal Expenditures
Indirect:				
U.S. Department of Health and Human Services:				
Pass-Through Iowa Department of Human Services:				
477 Cluster Program:				
ARP Childcare Stipends	93.575	FY25 4626	\$ -	\$ 2,450
U.S. Department of Homeland Security and Emergency Management:				
Pass-Through Iowa Department of Homeland Security and Emergency Management:				
FEMA Disaster Assistance	97.036	FY25 4566	-	72,299
Total Expenditures of Federal Awards			\$ -	\$ 4,314,641

See notes to schedule of expenditures of federal awards.

Johnston Community School District

Notes to the Schedule of Expenditures of Federal Awards Year Ended June 30, 2025

Note 1. Basis of Presentation

The accompanying schedule of expenditures of federal awards includes the federal grant activity of Johnston Community School District under programs of the federal government for the year ended June 30, 2025. The information in this schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Because the schedule presents only a selected portion of the operations of the District, it is not intended to and does not present the financial position, changes in net position or cash flows of the District.

Note 2. Significant Accounting Policies

Expenditures reported on the schedule of expenditures of federal awards are reported on the modified accrual or accrual basis of accounting based on the fund type of the program. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Revenue from federal awards is recognized when the District has done everything necessary to establish its right to revenue. For governmental funds, revenue from federal awards is recognized when it is both measurable and available. Expenditures of federal awards are recognized in the accounting period when the liability is incurred.

Note 3. Indirect Cost Rate

The District has elected not to use the 10-percent de minimus indirect cost rate allowed under the Uniform Guidance.

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COMMUNITY SCHOOL DISTRICT

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Superintendent Dr. Nikki Roorda • Associate Superintendent Jill Van Woerkom

Johnston Community School District

Summary Schedule of Prior Audit Findings

Year Ended June 30, 2025

Findings		Status	Reason for Recurrence and Corrective Action Plan or Other Explanation
Findings Related to Basic Financial Statements:			
Significant Deficiencies:			
2024-001	The District has insufficient segregation of duties over receipt transactions.	Not corrected.	The District has not implemented changes in the transaction cycle. See response and corrective action plan at 2025-001.
2024-002	The District has insufficient segregation of duties over the cash disbursement function.	Not corrected.	The District has not implemented changes in the transaction cycle. See response and corrective action plan at 2025-002.
2024-003	The District has insufficient segregation of duties over the payroll process.	Not corrected.	The District has not implemented changes in the transaction cycle. See response and corrective action plan at 2025-003.
Other findings Related to Statutory Reporting:			
IV-A-24	Expenditures for the year ended June 30, 2025 exceeded the certified budget amounts in the instruction function.	Not corrected.	The District does not have a process to monitor. See response and corrective action plan at IV-A-25.
IV-G-24	The minutes for the September 11, 2023, September 25, 2023, March 4, 2024, and March 18, 2024, meetings were not published within two weeks per Iowa Code Chapter 279.35.	Corrected.	
IV-H-24	The District identified variances in certified enrollment submitted to the state in October 2023.	Not corrected.	Student data changes were not timely communicated. See response and corrective action plan at IV-H-25.
IV-I-24	The District identified variances in supplementary weighting submitted to the state in October 2023.	Not corrected.	Course adjustments were not timely updated. See response and corrective action plan at IV-I-25.
IV-N-24	The Community Education Fund and the Community Preschool Fund had deficit balances at June 30, 2024.	Not corrected.	The funds have deficit fund balances in the current year. See response and corrective action plan at IV-N-25.

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Bohnsack & Frommelt LLP
Certified Public Accountants
575 12th Avenue
East Moline, Illinois 61244

**Independent Auditor's Report on Internal Control Over
Financial Reporting and on Compliance and Other Matters
Based on an Audit of Financial Statements Performed in
Accordance With *Government Auditing Standards***

To the Board of Education
Johnston Community School District
Johnston, Iowa

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of Johnston Community School District (the District) as of and for the year ended June 30, 2025, and the related notes to the financial statements, which collectively comprise the District's basic financial statements and have issued our report thereon dated March 13, 2026.

Our report includes an emphasis of matter paragraph for the implementation of Governmental Accounting Standards Board Statement No. 101.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of Johnston Community School District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct misstatements on a timely basis. A material weakness is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the District's financial statements will not be prevented, or detected and corrected on a timely basis. A significant deficiency is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that were not identified. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. We identified certain deficiencies in internal control, described in the accompanying Schedule of Findings and Questioned Costs as items 2025-001 through 2025-003 that we consider to be significant deficiencies.

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*. However, we noted certain immaterial instances of noncompliance or other matters which are described in Part IV of the accompanying Schedule of Findings and Questioned Costs.

Comments involving statutory and other legal matters about the District's operations for the year ended June 30, 2025 are based exclusively on knowledge obtained from procedures performed during our audit of the financial statements of the District. Since our audit was based on tests and samples, not all transactions that might have had an impact on the comments were necessarily audited. The comments involving statutory and other legal matters are not intended to constitute legal interpretations of those statutes.

District's Response to Findings

Government Auditing Standards requires the auditor to perform limited procedures on the District's response to the findings identified in our audit and described in the accompanying Schedule of Findings and Questioned Costs. The District's response was not subjected to the auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on the response.

Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Bohnsack & Frommelt LLP

East Moline, Illinois
March 13, 2026



Bohnsack & Frommelt LLP
Certified Public Accountants
575 12th Avenue
East Moline, Illinois 61244

**Independent Auditor's Report on Compliance For Each
Major Federal Program and On Internal Control
Over Compliance Required by the Uniform Guidance**

To the Board of Education
Johnston Community School District
Johnston, Iowa

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited Johnston Community School District's (the District) compliance with the types of compliance requirements identified as subject to audit in the *OMB Compliance Supplement* that could have a direct and material effect on each of the District's major federal programs for the year ended June 30, 2025. The District's major federal programs are identified in the summary of auditor's results section of the accompanying Schedule of Findings and Questioned Costs.

In our opinion, Johnston Community School District complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2025.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*); and the audit requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the District and to meet our other ethical responsibilities in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of the District's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to the District's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the District's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error; as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the District's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance, we

- exercise professional judgment and maintain professional skepticism throughout the audit,
- identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the District's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- obtain an understanding of the District's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control Over Compliance

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. *A significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Bohnsack & Frommelt LLP

East Moline, Illinois
March 13, 2026

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Johnston Community School District

**Schedule of Findings and Questioned Costs
Year Ended June 30, 2025**

I. Summary of the Independent Auditor's Results

Financial Statements

Type of auditor's report issued:

Unmodified

Internal control over financial reporting:

• Material weakness(es) identified?

☐

Yes

☒

No

• Significant deficiency identified?

☒

Yes

☐

None Reported

• Noncompliance material to financial statements noted?

☐

Yes

☒

No

Federal Awards

Internal control over major programs:

• Material weakness(es) identified?

☐

Yes

☒

No

• Significant deficiency identified?

☐

Yes

☒

None Reported

Type of auditor's report issued on compliance for major programs:

Unmodified

• Any audit findings disclosed that are required to be reported
in accordance with 2 CFR 200.516(a)?

☐

Yes

☒

No

Identification of major programs:

Federal Assistance

Listing Number	Name of Federal Program or Cluster
Child Nutrition Cluster Programs:	
10.553	School Breakfast Program
10.555	National School Lunch Program
10.555	Commodities -DOD (Noncash)
10.555	Commodities (Noncash)
10.559	Summer Food Service Program for Children

Dollar threshold used to distinguish between type A and type B programs: \$750,000

Auditee qualified as low-risk auditee?

☒

Yes

☐

No

(Continued)

Johnston Community School District

Schedule of Findings and Questioned Costs (Continued)
Year Ended June 30, 2025

Part II: Findings Related to the Basic Financial Statements

Instances of noncompliance:

No matters were reported.

Internal control deficiencies:

2025-001

Finding: The District has insufficient segregation of duties over receipt transactions.

Criteria: A good internal control contemplates an adequate segregation of duties so that no one individual handles a transaction from inception to completion.

Condition: The deficiency is the result of the following:

- A position prepares invoices for services, collects cash and checks, prepares deposits, and post transactions to the financial ledger system. This position also reconciles receipts from subsidiary systems to bank deposits and prepares batch entries.
- A position collects cash and checks, prepares the deposit and provides deposit information for posting.
- Subsidiary point of sale system reports are not reconciled on a routine basis to the general ledger.

Cause: The District has not segregated access to cash and checks from posting and reconciling. Sponsors of fundraising events or other activities are not routinely provided information to ensure the amounts provided for deposit were properly recorded. The District does not reconcile the point of sale systems to the general ledger postings including unearned revenue.

Effect: Misappropriations of assets or errors could occur and not be detected in a timely manner.

Context: The deficiency is over cash and checks collected by the District.

Identification as a repeat finding: This is not a repeat finding.

Recommendation: The position responsible for collecting receipts or with access to cash and checks should be segregated from posting receipts to the financial ledger system and reconciling accounts. In addition, we have the following specific recommendations:

- At the Administration Center, cash or checks should be receipted and prepared for deposit by a position without access to billing or to posting the transactions.
- Sponsors and coaches for athletics and activities should be provided a routine report from the Business Office or the point of sale system. The report should be automated or generated by a position without access to the cash and checks collected. Sponsors should be required to review the report deposits and expenditures to agree to their records.
- Monthly reports from the subsidiary point of sale systems should be provided to the Business Office. The Business Office should reconcile the amounts reported as revenue and unearned revenue to the general ledger to ensure receipts collected and deposited are properly recorded.

Response and Corrective Action Plan: The District will review current processes and realign duties and system access levels to improve internal controls within the design of the receipt system.

(Continued)

Johnston Community School District

Schedule of Findings and Questioned Costs (Continued) Year Ended June 30, 2025

2025-002

Finding: The District has insufficient segregation of duties over the cash disbursement function.

Criteria: A properly designed system of internal control over financial reporting requires entities to initiate, authorize, record, process and report financial data reliably in accordance with accounting principles generally accepted in the United States of America.

Condition: The finding is the result of the following conditions:

- District Accounts Payable position has access to set up new vendors or edit vendor information in the system process payments and generate checks.
- There is not a formal check sequence monitoring process.
- The position responsible for transfers between bank accounts also reconciles the bank statement and there is not a formal review process over the bank reconciliation process.

Cause: A limited number of personnel are involved in the cash disbursement function.

Effect: Misappropriation of assets could occur and not be detected in a timely basis.

Context: This deficiency is over the District's expenditures.

Identification as a repeat finding: This is not a repeat finding.

Recommendation: In general, authorization of new vendors, entering invoices into the accounting system and processing of checks should be segregated. We recommend implementing the following controls to strengthen internal controls over disbursements:

- Although not the primary position responsible, the Master Vendor File access should be removed from the position that has access to process payments and generate checks.
- Check sequence should be logged and monitored by a position without access to generate checks. In addition to the current vendor accounts payable listing, the Board should also receive a listing of monthly accounts payable by check number.
- The process of matching invoices to check stubs should be delegated to a position without access to process accounts payable. This position should match all invoices to the checks noting proper amount and address and mail the checks once all invoices are matched to the checks.
- Monthly a formal review process should be incorporated over the bank statement reconciliation, including tracing bank balance to the bank statement, book balance to the general ledger, tracing transfers between bank accounts and reviewing the bank statement and reconciliation for reoccurring or unusual transactions or uncleared reconciling items.

Response and Corrective Action Plan: The District will review current processes and realign duties and system access levels to improve internal controls within the design of the disbursement transaction system.

(Continued)

Johnston Community School District

Schedule of Findings and Questioned Costs (Continued) Year Ended June 30, 2025

2025-003

Finding: The District has insufficient segregation of duties over the payroll process.

Criteria: A properly designed system of internal control over financial reporting requires entities to initiate, authorize, record, process and report financial data reliably in accordance with accounting principles generally accepted in the United States of America.

Condition: Although the Payroll Specialist is not responsible for adding new employees to the payroll system, the position has access rights to the system to enter and modify pay assignments. These access rights give the position the capability to change the employee master file, including entering new employees, modifying pay rates and adding deductions; enter time to the payroll system, process the payroll and generate the payroll checks and direct deposits.

Cause: Access rights are not appropriately modified in the financial software system to prevent segregation of duties issues.

Effect: Misappropriations of assets could occur and not be detected in a timely basis.

Context: A good internal control contemplates an adequate segregation of duties so that no one individual handles a transaction from inception to its completion.

Identification as a repeat finding: This is not a repeat finding.

Recommendation: Ideally, the position responsible for processing the payroll should be segregated from access to make employee master file changes including adding pay contracts and benefits. The District should evaluate the payroll software to determine if password protections within applications in regard to the master file could be limited to Human Resource Department. If capabilities do not exist to restrict access, we provide the following recommendations to strengthen the District's internal control system:

- The Director of Business Services position should review the payroll checks and direct deposit listing to look for any unknown employees and any unusual pay amounts. This position should compare the total pay amount to the prior payroll period and investigate any unusual variances in the total amount paid from one pay period to the next and compare totals to budget for any variances.
- The District should determine if a payroll change/edit report can be printed from the payroll system. This report should list all changes made to the employee master files. The changes on this report should be reviewed by a position independent from the payroll processing position.

Response and Corrective Action Plan: The District will review current processes and realign duties and system access levels to improve internal controls within the design of the disbursement transaction system.

Part III: Findings and Questioned Costs for Federal Awards

Instances of noncompliance:

No matters were reported.

Internal control deficiencies:

No matters were reported.

Johnston Community School District

Schedule of Findings and Questioned Costs (Continued)
Year Ended June 30, 2025

Part IV: Other Findings Related to Statutory Reporting

IV-A-25

Certified Budget –

Finding: Expenditures for the year ended June 30, 2025, exceeded the certified budget for the instruction, support services, and noninstructional programs function.

Recommendation: The certified budget should be amended in accordance with Chapter 24.9 of the Code of Iowa and in sufficient amounts to ensure the budget is not exceeded.

Response: The District will amend the budget, allowing a higher threshold for estimated expenditures, to comply with the certified budget requirements.

Conclusion: Response accepted.

IV-B-25

Questionable Expenditures – No expenditures were noted that we believe may not meet the requirements of public purpose as defined in an Attorney General's opinion dated April 25, 2079.

IV-C-25

Travel Expense – No expenditures of District money for travel expenses of spouses of District officials or employees were noted. No travel advances to District officials or employees were noted.

IV-D-25

Business Transactions – No business transactions between the District and District officials or employees were noted.

IV-E-25

Restricted Donor Activity- No transactions were noted between the District, District officials or District employees and restricted donors in compliance with Chapter 68B of the Code of Iowa.

IV-F-25

Bond Coverage – Surety bond coverage of District officials and employees is in accordance with statutory provisions. The amount of coverage should be reviewed annually to insure that the coverage is adequate for current operations.

IV-G-25

Board Minutes – No transactions requiring Board approval which had not been approved by the Board were noted.

(Continued)

Johnston Community School District

Schedule of Findings and Questioned Costs (Continued)
Year Ended June 30, 2025

IV-H-25

Certified Enrollment-

Finding: The District identified variances in certified enrollment submitted to the state in October 2024.

Recommendation: We recommend the District review certified enrollment data for accuracy prior to submission to the state.

Response and Corrective Action Plan: The District will continue to review data prior to submission.

Conclusion: Response accepted.

IV-I-25

Supplementary Weighting –

Finding: Variances in supplementary weighting data certified to the Iowa Department of Education were noted.

Recommendation: We recommend the District review supplementary weighting data for accuracy prior to submission to the state.

Response and Corrective Action Plan: The District will continue to review data prior to submission.

Conclusion: Response accepted.

IV-J-25

Deposits and Investments – No instances of noncompliance with the deposit and investment provisions of Chapter 12B and Chapter 12C of the Code of Iowa and the District's investment policy were noted.

IV-K-25

Certified Annual Report – The Certified Annual Report was certified timely to the Iowa Department of Education.

IV-L-25

Categorical Funding – No instances were noted of categorical funding being used to supplant rather than supplement other funds.

(Continued)

Johnston Community School District

Schedule of Findings and Questioned Costs (Continued) Year Ended June 30, 2025

IV-M-25

Statewide Sales and Services Tax – No instances of noncompliance with the use of the statewide sales and services tax revenue provisions of Chapter 423F.3 of the Code of Iowa were noted. Pursuant to Chapter 423F.5 of the Code of Iowa, the annual audit is required to include certain reporting elements related to the statewide sales and services tax revenue. Districts are required to include these reporting elements in the Certified Annual Report (CAR) submitted to the Iowa Department of Education. For the year ended June 30, 2025, the District reported the following information regarding the statewide sales and services tax revenue in the District's CAR:

Beginning balance		\$	10,305,027
Revenue / transfers in:			
Statewide sales and services tax revenue	9,045,095		
Issuance of lease	3,611		
Interest income	278,693		9,327,399
Expenditures/transfers out:			
School infrastructure:			
Instruction	16,712		
Support services	972,269		
Buildings and improvements	941,200		
Transfers out	5,353,511		7,283,692
Ending balance		\$	12,348,734

For the year ended June 30, 2025, the District did not reduce the debt service tax levy as a result of the moneys received under Chapter 423E or 423F of the Code of Iowa.

IV-N-25

Deficit Balances-

Finding: The Community Education Fund and the Community Preschool Fund had deficit balances at June 30, 2025.

Recommendation: The District should continue to investigate alternatives to eliminate this deficit in order to return these funds to a sound financial condition.

Response: The District is continuing to investigate alternatives to minimize the deficit in the Community Education Fund and the Community Preschool Fund at the end of the fiscal year.

Conclusion: Response accepted.

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 Superintendent Dr. Nikki Roorda • Associate Superintendent Jill Van Woerkom

Johnston Community School District

Corrective Action Plan Year Ended June 30, 2025

Findings	Corrective Action Plan	Anticipated Date of Completion and Responsible Contact Person
Findings Related to Basic Financial Statements:		
Significant Deficiencies:		
2025-001 The District has insufficient segregation of duties over receipt transactions.	See 2025-001	Fiscal Year 2026 Ryan Eidahl, Chief Financial Officer
2025-002 The District has insufficient segregation of duties over the cash disbursement function.	See 2025-002	Fiscal Year 2026 Ryan Eidahl, Chief Financial Officer
2025-003 The District has insufficient segregation of duties over the payroll process.	See 2025-003	Fiscal Year 2026 Ryan Eidahl, Chief Financial Officer
Other findings Related to Statutory Reporting:		
IV-A-25 Expenditures for the year ended June 30, 2025 exceeded the certified budget amounts in the instruction, support services and noninstructional programs functions.	See IV-A-25	Fiscal Year 2026 Ryan Eidahl, Chief Financial Officer
IV-H-25 The District identified variances in certified enrollment submitted to the state in October 2024.	See IV-H-25	Fiscal Year 2026 Ryan Eidahl, Chief Financial Officer
IV-I-25 The District identified variances insupplementary weighting submitted to the state in October 2024.	See IV-I-25	Fiscal Year 2026 Ryan Eidahl, Chief Financial Officer
IV-N-25 The Community Education Fund and the Community Preschool Fund had deficit balances at June 30, 2025.	See IV-N-25	Fiscal Year 2026 Ryan Eidahl, Chief Financial Officer